

Industry ↴

962 Plan Accounting—Defined Contribution Pension Plans

962 Plan Accounting—Defined Contribution Pension Plans

10 Overall

00 Status

General Note: The Status Section identifies changes to this Subtopic resulting from Accounting Standards Updates. The Section provides references to the affected Codification content and links to the related Accounting Standards Updates. Nonsubstantive changes for items such as editorial, link and similar corrections are included separately in Maintenance Updates.

General

962-10-00-1	The following table identifies the changes made to this Subtopic.			
	Paragraph	Action	Accounting Standards Update	Date
	Benefits	Amended	Accounting Standards Update No. 2016-19	12/14/2016
	Benefits (3rd def.)	Added	Accounting Standards Update No. 2014-06	03/14/2014
	Defined Contribution Plan	Amended	Accounting Standards Update No. 2014-06	03/14/2014
	Sponsor (3rd def.)	Added	Accounting Standards Update No. 2014-06	03/14/2014
	962-10-05-1	Amended	Accounting Standards Update No. 2014-06	03/14/2014
	962-10-05-7	Amended	Accounting Standards Update No. 2014-06	03/14/2014
	962-10-10-1	Amended	Accounting Standards Update No. 2014-06	03/14/2014
	962-10-15-2	Amended	Accounting Standards Update No. 2014-06	03/14/2014
	962-10-65-1	Added	Accounting Standards Update No. 2015-12 (Part I)	07/31/2015

962-10-65-2	Added	Accounting Standards Update No. 2015-12 (Part II)	07/31/2015
962-10-65-3	Added	Accounting Standards Update No. 2015-12 (Part III)	07/31/2015
962-10-65-4	Added	Accounting Standards Update No. 2017-06	02/27/2017

05 Overview and Background

General Note: The Overview and Background Section provides overview and background material for the guidance contained in the Subtopic. It does not provide the historical background or due process. It may contain certain material that users generally consider useful to understand the typical situations addressed by the standards. The Section does not summarize the accounting and reporting requirements.

General

- 962-10-05-1** The Codification contains several Topics for the accounting and reporting by a plan (as opposed to an employer) due to the differing accounting treatment for various forms of employee benefit plans. The Compensation Topics address the accounting and reporting by the employer. The Plan Accounting Topics include:
- a. Plan Accounting—Defined Benefit Pension Plans, Topic [960](#)
 - b. Plan Accounting—Defined Contribution Pension Plans, (this Topic)
 - c. Plan Accounting—Health and Welfare Benefit Plans, Topic [965](#).

Additionally, Topic [715](#) addresses financial accounting and reporting for an employer that offers pension, other postretirement, and certain special or contractual termination [benefits](#) to its employees.

- 962-10-05-2** The Plan Accounting—Defined Contribution Pension Plans Topic includes the following Subtopics:
- a. Overall
 - b. Terminating Plans
 - c. Presentation of Financial Statements
 - d. Notes to Financial Statements
 - e. Receivables
 - f. Investments—Other.

- 962-10-05-3** The Overall Subtopic provides guidance on the accounting and reporting for defined contribution pension plans.

- 962-10-05-4** Information relevant to the primary users of [defined contribution plan](#) financial statements—plan participants—is different from that which is relevant to users of defined benefit plan financial statements. In defined contribution plans, plan participants have a greater vested interest in

monitoring the financial condition and operations of the plan since they bear investment risk under these plans and plan transactions can directly affect their benefits.

- 962-10-05-5** Consistent with the objective of a defined contribution plan's financial statements, net assets available for benefits of defined contribution plans should be measured and reported at values that are meaningful to financial statement users.
- 962-10-05-6** Information that is useful to plan participants includes the amount they would receive currently if they were to withdraw or borrow funds from or transfer funds within the plan.
- 962-10-05-7** The primary users of a defined contribution plan's financial statements include all of the following:
- Plan [sponsor\(s\)](#)
 - Plan participants
 - The following governmental regulators:
 - The U.S. Department of Labor
 - The Internal Revenue Service (IRS)
 - The Securities and Exchange Commission (SEC).

> The Employee Retirement Income Security Act of 1974

- 962-10-05-8** Defined contribution pension plans are generally subject to certain of the reporting and other requirements of The Employee Retirement Income Security Act of 1974. In addition to establishing certain minimum standards for participation, vesting, and funding for employee benefit plans of private entities, the Act also requires annual reporting of certain information to particular governmental agencies and summarized information to plan participants. For many plans, the reporting requirements include financial statements prepared in conformity with generally accepted accounting principles (GAAP).
- 962-10-05-9** The reporting requirements of the Act, except for certain particular references, are not included in the Codification, but they should nonetheless be considered by those responsible for the preparation of defined contribution plan financial statements.

10 Objectives

i General Note: The Objectives Section provides the high-level objectives that the Subtopic is intended to accomplish or attain. The Section does not summarize or discuss the main principles of accounting and reporting requirements.

General

- 962-10-10-1** The primary objective of a defined contribution plan's financial statements is to provide information that is useful in assessing the plan's present and future ability to pay [benefits](#) when they are due. In a [defined contribution plan](#), the plan's net assets available to pay benefits equal the sum of

participants' individual account balances. Accordingly, benefits that can be paid by the plan when they are due relate to the value of the assets that may currently be made available to the individual participants.

15 Scope and Scope Exceptions

i General Note: The Scope and Scope Exceptions Section outlines the items (for example, the entities, transactions, instruments, or events) to which the guidance in the Subtopic does or does not apply. In some cases, the Section may contain definitional or other text to frame the scope.

i General Note for Financial Instruments: Some of the items subject to the guidance in this Subtopic are [financial instruments](#). For guidance on matters related broadly to all financial instruments, (including the fair value option, accounting for registration payment arrangements, and broad financial instrument disclosure requirements), see Topic [825](#). See Section [825-10-15](#) for guidance on the scope of the Financial Instruments Topic.

General

> Overall Guidance

962-10-15-1 The Subtopics within the Plan Accounting—Defined Contribution Pension Plans Topic only provide incremental guidance for the entities defined in this Scope Section, or as further defined in the Scope Sections of the individual Plan Accounting—Defined Contribution Pension Plans Subtopics.

> Entities

962-10-15-2 The guidance in this Topic applies to all entities that are employee benefit plans that provide [benefits](#) based on amounts contributed to an employee's individual account.

962-10-15-3 The guidance in this Topic does not apply to the following entities:

- a. Defined benefit pension plans (see Topic [960](#))
- b. Health and welfare benefit plans that are not also defined contribution plans (see Topic [965](#)).

20 Glossary

General Note: The Master Glossary contains all terms identified as glossary terms throughout the Codification. Clicking on any term in the Master Glossary will display where the term is used. The Master Glossary may contain identical terms with different definitions, some of which may not be appropriate for a particular Subtopic. For any particular Subtopic, users should only use the glossary terms included in the particular Subtopic Glossary Section (Section 20).

Benefits

The monetary or in-kind benefits or benefit coverage to which participants may be entitled under a pension plan or a health and welfare plan (which can include active, terminated, and retired employees or their dependents or beneficiaries). Examples of benefits may include, but are not limited to, health care benefits, life insurance, legal, educational, and advisory services, pension benefits, disability benefits, death benefits, and benefits due to termination of employment.

Defined Contribution Plan

A plan that provides an individual account for each participant and provides benefits that are based on all of the following: amounts contributed to the participant's account by the employer or employee; investment experience; and any forfeitures allocated to the account, less any administrative expenses charged to the plan.

- a. Defined contribution health and welfare plans—Defined contribution health and welfare plans maintain an individual account for each plan participant. They have terms that specify the means of determining the contributions to participants' accounts, rather than the amount of benefits the participants are to receive. The benefits a plan participant will receive are limited to the amount contributed to the participant's account, investment experience, expenses, and any forfeitures allocated to the participant's account. These plans also include flexible spending arrangements.
- b. Defined contribution postretirement plan—A plan that provides postretirement benefits in return for services rendered, provides an individual account for each plan participant, and specifies how contributions to the individual's account are to be determined rather than specifies the amount of benefits the individual is to receive. Under a defined contribution postretirement plan, the benefits a plan participant will receive depend solely on the amount contributed to the plan participant's account, the returns earned on investments of those contributions, and the forfeitures of other plan participants' benefits that may be allocated to that plan participant's account.

Sponsor

In the case of a pension plan established or maintained by a single employer, the employer; in the case of a plan established or maintained by an employee entity, the employee entity; in the case of a plan established or maintained jointly by two or more employers or by one or more employers and one or more employee entities, the association, committee, joint board of trustees, or other group of representatives of the parties that have established or that maintain the pension plan.

65 Transition and Open Effective Date Information

i General Note: The Transition Section contains a description of the required transition provisions and a list of the related paragraphs that have been modified. This Section will retain the transition content during the transition period. After the transition period, the transition content will be removed yet will be available in archived versions of the Section.

General

- 962-10-65-1** Paragraph superseded on 07/05/2017 after the end of the transition period stated in Accounting Standards Update No. 2015-12 (Part I), *Plan Accounting (Topics 962 and 965): Fully Benefit-Responsive Investment Contracts*.
- 962-10-65-2** Paragraph superseded on 07/05/2017 after the end of the transition period stated in Accounting Standards Update No. 2015-12 (Part II), *Plan Accounting (Topics 960, 962, and 965): Plan Investment Disclosures*.
- 962-10-65-3** Paragraph superseded on 07/05/2017 after the end of the transition period stated in Accounting Standards Update No. 2015-12 (Part III), *Plan Accounting (Topics 960, 962, and 965): Measurement Date Practical Expedient*.
- 962-10-65-4** Paragraph superseded on 07/20/2020 after the end of the transition period stated in Accounting Standards Update No. 2017-06, *Plan Accounting (Topics 960, 962, and 965): Employee Benefit Plan Master Trust Reporting*.

962 Plan Accounting—Defined Contribution Pension Plans

40 Terminating Plans

00 Status

General Note:The Status Section identifies changes to this Subtopic resulting from Accounting Standards Updates. The Section provides references to the affected Codification content and links to the related Accounting Standards Updates. Nonsubstantive changes for items such as editorial, link and similar corrections are included separately in Maintenance Updates.

General

962-40-00-1	The following table identifies the changes made to this Subtopic.			
	Paragraph	Action	Accounting Standards Update	Date
	Benefits	Amended	Accounting Standards Update No. 2016-19	12/14/2016
	Benefits (3rd def.)	Added	Accounting Standards Update No. 2014-06	03/14/2014
	Defined Contribution Plan	Amended	Accounting Standards Update No. 2014-06	03/14/2014
	Liquidation	Added	Accounting Standards Update No. 2013-07	04/22/2013
	962-40-25-1	Amended	Accounting Standards Update No. 2013-07	04/22/2013
	962-40-25-2	Amended	Accounting Standards Update No. 2013-07	04/22/2013
	962-40-35-1	Superseded	Accounting Standards Update No. 2013-07	04/22/2013
	962-40-35-1	Amended	Accounting Standards Update No. 2012-04	10/01/2012
	962-40-50-1	Amended	Accounting Standards Update No. 2014-06	03/14/2014

05 Overview and Background

General Note:The Overview and Background Section provides overview and background material for the guidance contained in the Subtopic. It does not provide the historical background or due process. It may contain certain material that users generally consider useful to understand the typical situations addressed by the standards. The Section does not summarize the accounting and reporting requirements.

General

962-40-05-1 This Subtopic provides guidance for defined contribution plans that are terminating plans.

15 Scope and Scope Exceptions

General Note: The Scope and Scope Exceptions Section outlines the items (for example, the entities, transactions, instruments, or events) to which the guidance in the Subtopic does or does not apply. In some cases, the Section may contain definitional or other text to frame the scope.

General

> Overall Guidance

962-40-15-1 This Subtopic follows the same Scope and Scope Exceptions as outlined in the Overall Subtopic (see Section [962-10-15](#)).

20 Glossary

General Note: The Master Glossary contains all terms identified as glossary terms throughout the Codification. Clicking on any term in the Master Glossary will display where the term is used. The Master Glossary may contain identical terms with different definitions, some of which may not be appropriate for a particular Subtopic. For any particular Subtopic, users should only use the glossary terms included in the particular Subtopic Glossary Section (Section 20).

Benefits

The monetary or in-kind benefits or benefit coverage to which participants may be entitled under a pension plan or a health and welfare plan (which can include active, terminated, and retired employees or their dependents or beneficiaries). Examples of benefits may include, but are not limited to, health care benefits, life insurance, legal, educational, and advisory services, pension benefits, disability benefits, death benefits, and benefits due to termination of employment.

Defined Contribution Plan

A plan that provides an individual account for each participant and provides benefits that are based on all of the following: amounts contributed to the participant's account by the employer or employee; investment experience; and any forfeitures allocated to the account, less any administrative expenses charged to the plan.

a. Defined contribution health and welfare plans—Defined contribution health and welfare plans maintain an individual account for each plan participant. They have terms that specify the means of determining the contributions to participants' accounts, rather than the amount of benefits the participants are to receive. The benefits a plan participant will receive are limited to the amount

contributed to the participant's account, investment experience, expenses, and any forfeitures allocated to the participant's account. These plans also include flexible spending arrangements.

b. Defined contribution postretirement plan—A plan that provides postretirement benefits in return for services rendered, provides an individual account for each plan participant, and specifies how contributions to the individual's account are to be determined rather than specifies the amount of benefits the individual is to receive. Under a defined contribution postretirement plan, the benefits a plan participant will receive depend solely on the amount contributed to the plan participant's account, the returns earned on investments of those contributions, and the forfeitures of other plan participants' benefits that may be allocated to that plan participant's account.

Liquidation

The process by which an entity converts its assets to cash or other assets and settles its obligations with creditors in anticipation of the entity ceasing all activities. Upon cessation of the entity's activities, any remaining cash or other assets are distributed to the entity's investors or other claimants (albeit sometimes indirectly). Liquidation may be compulsory or voluntary. Dissolution of an entity as a result of that entity being acquired by another entity or merged into another entity in its entirety and with the expectation of continuing its business does not qualify as liquidation.

Terminating Plan

All plans about which a termination decision has been made regardless of whether the terminating plan will be replaced.

25 Recognition

i General Note: The Recognition Section provides guidance on the required criteria, timing, and location (within the financial statements) for recording a particular item in the financial statements. Disclosure is not recognition.

General

- 962-40-25-1** If the [liquidation](#) of a plan is deemed to be imminent (as defined in paragraph [205-30-25-2](#)) before the end of the plan year, the plan's year-end financial statements shall be prepared using the liquidation basis of accounting in accordance with Subtopic [205-30](#).
- 962-40-25-2** Plan financial statements for periods ending after the determination that liquidation is imminent are prepared using the liquidation basis of accounting.

35 Subsequent Measurement

- i General Note:** The Subsequent Measurement Section provides guidance on an entity's subsequent measurement and subsequent recognition of an item. Situations that may result in subsequent changes to carrying amount include impairment, credit losses, fair value adjustments, depreciation and amortization, and so forth.

General

962-40-35-1 [Paragraph superseded by Accounting Standards Update No. 2013-07.](#)

50 Disclosure

- i General Note:** The Disclosure Section provides guidance regarding the disclosure in the notes to financial statements. In some cases, disclosure may relate to disclosure on the face of the financial statements.

General

962-40-50-1 When the decision has been made to terminate a plan or when a wasting trust (that is, a plan under which participants no longer accrue [benefits](#) but that will remain in existence as long as necessary to pay already accrued benefits) exists, the relevant circumstances shall be disclosed in all subsequent financial statements issued by the plan.

962 Plan Accounting—Defined Contribution Pension Plans

205 Presentation of Financial Statements

00 Status

- i General Note:** The Status Section identifies changes to this Subtopic resulting from Accounting Standards Updates. The Section provides references to the affected Codification content and links to the related

Accounting Standards Updates. Nonsubstantive changes for items such as editorial, link and similar corrections are included separately in Maintenance Updates.

General

962-205-00-1

The following table identifies the changes made to this Subtopic.

Paragraph	Action	Accounting Standards Update	Date
Benefits	Amended	Accounting Standards Update No. 2016-19	12/14/2016
Benefits (3rd def.)	Added	Accounting Standards Update No. 2014-06	03/14/2014
Defined Contribution Plan	Amended	Accounting Standards Update No. 2014-06	03/14/2014
Sponsor (3rd def.)	Added	Accounting Standards Update No. 2014-06	03/14/2014
962-205-45-2	Amended	Accounting Standards Update No. 2015-12 (Part I)	07/31/2015
962-205-45-3	Superseded	Accounting Standards Update No. 2015-12 (Part I)	07/31/2015
962-205-45-3	Amended	Accounting Standards Update No. 2012-04	10/01/2012
962-205-45-4	Amended	Accounting Standards Update No. 2014-06	03/14/2014
962-205-45-5	Superseded	Accounting Standards Update No. 2018-09	07/16/2018
962-205-45-7	Amended	Maintenance Update 2016-11 	06/27/2016
962-205-45-7	Amended	Accounting Standards Update No. 2015-12 (Part II)	07/31/2015
962-205-45-7	Amended	Accounting Standards Update No. 2014-06	03/14/2014
962-205-45-7	Amended	Accounting Standards Update No. 2012-04	10/01/2012
962-205-45-10	Added	Accounting Standards Update No. 2017-06	02/27/2017
962-205-50-1	Amended	Maintenance Update 2016-11 	06/27/2016

05 Overview and Background

 **General Note:** The Overview and Background Section provides overview and background material for the guidance contained in the Subtopic. It does not provide the historical background or due process. It may

contain certain material that users generally consider useful to understand the typical situations addressed by the standards. The Section does not summarize the accounting and reporting requirements.

General

962-205-05-1 This Subtopic provides guidance on the presentation of financial statements of defined contribution pension plans.

15 Scope and Scope Exceptions

i General Note: The Scope and Scope Exceptions Section outlines the items (for example, the entities, transactions, instruments, or events) to which the guidance in the Subtopic does or does not apply. In some cases, the Section may contain definitional or other text to frame the scope.

General

> Overall Guidance

962-205-15-1 This Subtopic follows the same Scope and Scope Exceptions as outlined in the Overall Subtopic, see Section [962-10-15](#).

20 Glossary

i General Note: The Master Glossary contains all terms identified as glossary terms throughout the Codification. Clicking on any term in the Master Glossary will display where the term is used. The Master Glossary may contain identical terms with different definitions, some of which may not be appropriate for a particular Subtopic. For any particular Subtopic, users should only use the glossary terms included in the particular Subtopic Glossary Section (Section 20).

Benefits

The monetary or in-kind benefits or benefit coverage to which participants may be entitled under a pension plan or a health and welfare plan (which can include active, terminated, and retired employees

or their dependents or beneficiaries). Examples of benefits may include, but are not limited to, health care benefits, life insurance, legal, educational, and advisory services, pension benefits, disability benefits, death benefits, and benefits due to termination of employment.

Defined Contribution Plan

A plan that provides an individual account for each participant and provides benefits that are based on all of the following: amounts contributed to the participant's account by the employer or employee; investment experience; and any forfeitures allocated to the account, less any administrative expenses charged to the plan.

- a. **Defined contribution health and welfare plans**—Defined contribution health and welfare plans maintain an individual account for each plan participant. They have terms that specify the means of determining the contributions to participants' accounts, rather than the amount of benefits the participants are to receive. The benefits a plan participant will receive are limited to the amount contributed to the participant's account, investment experience, expenses, and any forfeitures allocated to the participant's account. These plans also include flexible spending arrangements.
- b. **Defined contribution postretirement plan**—A plan that provides postretirement benefits in return for services rendered, provides an individual account for each plan participant, and specifies how contributions to the individual's account are to be determined rather than specifies the amount of benefits the individual is to receive. Under a defined contribution postretirement plan, the benefits a plan participant will receive depend solely on the amount contributed to the plan participant's account, the returns earned on investments of those contributions, and the forfeitures of other plan participants' benefits that may be allocated to that plan participant's account.

Sponsor

In the case of a pension plan established or maintained by a single employer, the employer; in the case of a plan established or maintained by an employee entity, the employee entity; in the case of a plan established or maintained jointly by two or more employers or by one or more employers and one or more employee entities, the association, committee, joint board of trustees, or other group of representatives of the parties that have established or that maintain the pension plan.

45 Other Presentation Matters

i General Note: The Other Presentation Matters Section provides guidance on other presentation matters not addressed in the Recognition, Initial Measurement, Subsequent Measurement, and Derecognition Sections. Other presentation matters may include items such as current or long-term balance sheet classification, cash flow presentation, earnings per share matters, and so forth. The FASB Codification also contains Presentation Topics, which provide guidance for general presentation and display items. See those Topics for general guidance.

General

962-205-45-1 The financial statements of a [defined contribution plan](#) prepared in accordance with generally accepted accounting principles (GAAP) shall be prepared on the accrual basis of accounting and

include both of the following:

- a. A statement of net assets available for benefits of the plan as of the end of the plan year
- b. A statement of changes in net assets available for benefits of the plan for the year then ended.

> Net Assets Available for Benefits

962-205-45-2 The statement of net assets available for benefits of the plan shall present amounts for all of the following:

- a. Total assets
- b. Total liabilities
- c. [Subparagraph superseded by Accounting Standards Update No. 2015-12](#). (Part I).
- d. Net assets available for benefits.

962-205-45-3 [Paragraph superseded by Accounting Standards Update No. 2015-12](#) (Part I).

> Other Components of Net Assets Available for Benefits

962-205-45-4 A plan may have liabilities (other than for [benefits](#)) that shall be accrued. Such liabilities may be for amounts owed for securities purchased, refund of excess contributions, income taxes payable by the plan, or other expenses (for example, third-party administrator fees). These liabilities shall be deducted to arrive at net assets available for benefits.

962-205-45-5 [Paragraph superseded by Accounting Standards Update No. 2018-09](#).

> Changes in Net Assets Available for Benefits

962-205-45-6 The statement of changes in net assets available for benefits shall be prepared on a basis that reflects income credited to participants in the plan and net appreciation or depreciation in the fair value of only those investment contracts that are not deemed to be fully benefit-responsive. Paragraph [962-325-35-5](#) provides guidance on the accounting for fully benefit-responsive investment contracts.

962-205-45-7 Information about changes in net assets available for benefits is intended to present the effects of significant changes in net assets during the year and shall present, at a minimum, all of the following:

- a. The net appreciation or depreciation in fair value. Net appreciation or depreciation includes realized gains and losses on investments that were both purchased and sold during the period as well as unrealized appreciation or depreciation of the investments held at year end.
- b. Investment income, exclusive of changes in fair value described in (a).
- c. Contributions from employers, segregated between cash and noncash contributions (a noncash contribution shall be recorded at fair value; the nature of noncash contributions shall be described either parenthetically or in a note).
- d. Contributions from participants, including those transmitted by the [sponsor](#).
- e. Contributions from other identified sources (for example, state subsidies or federal grants).
- f. Benefits paid to participants.
- g. Payments to insurance entities to purchase contracts that are excluded from plan assets.
- h. Administrative expenses.

962-205-45-8 The list of minimum disclosures is not intended to limit the amount of detail or the manner of presenting the information, and subclassifications or additional classifications may be useful. Other changes in net assets available for benefits (for example, transfers of assets to or from other plans or proceeds from demutualization) shall be presented separately in the financial statements if they are significant.

> Statement of Cash Flows

962-205-45-9 Paragraph [230-10-15-4](#) states that a statement of cash flows is not required to be provided by a defined benefit pension plan that presents financial information in accordance with this Subtopic. That paragraph also states that other employee benefit plans that present financial information similar to that required by Topic [960](#) (including the presentation of plan investments at fair value) are not required to provide a statement of cash flows. That paragraph also states that employee benefit plans are encouraged to include a statement of cash flows with their annual financial statements if that statement would provide relevant information about the ability of the plan to meet future obligations (for example, if the plan invests in assets that are not highly liquid or obtains financing for investments).

> Interests in Master Trusts

962-205-45-10 For each master trust in which a plan holds an interest, a plan shall present that interest and the change in that interest in separate line items in the statement of net assets available for benefits and in the statement of changes in net assets available for benefits, respectively. See Section [962-325-50](#) for master trust disclosures.

50 Disclosure

i General Note: The Disclosure Section provides guidance regarding the disclosure in the notes to financial statements. In some cases, disclosure may relate to disclosure on the face of the financial statements.

General

962-205-50-1 The financial statements shall disclose, if applicable, all of the following:

- A brief, general description of the plan agreement including, but not limited to, vesting and allocation provisions and the disposition of forfeitures. If a plan agreement or a description providing this information is otherwise published and made available, this description may be omitted from the financial statements provided that reference to the other source is made.
- A description of significant plan amendments adopted during the period, and the effects of such amendments on net assets if significant either individually or in the aggregate.
- The amount of unallocated assets, as well as the basis used to allocate asset values to participants' accounts if that basis differs from the one used to record assets in the financial statements.

- d. The basis for determining contributions by employers and, for a contributory plan, the method of determining participants' contributions. Plans subject to the minimum funding requirements of the Employee Retirement Income Security Act, such as money purchase pension plans, shall disclose whether those requirements have been met. If a minimum funding waiver has been granted by the Internal Revenue Service (IRS), or if a request for waiver is pending before the IRS, that fact shall be disclosed.
- e. If significant costs of plan administration are being absorbed by the employers, that fact shall be disclosed in the notes to financial statements.
- f. The policy regarding the purchase of contracts with insurance entities that are excluded from plan assets.
- g. The federal income tax status of the plan if a favorable determination letter has not been obtained or maintained. Note that reports filed in accordance with the requirements of the Employee Retirement Income Security Act must include disclosure of information concerning whether a tax ruling or determination letter has been obtained, which is more than is required by Topic 960.
- h. Guarantees by others of debt of the plan.
- i. Amounts allocated to accounts of persons who have elected to withdraw from the plan but have not yet been paid. These amounts shall not be reported as a liability on the statement of net assets available for benefits in financial statements prepared in conformity with generally accepted accounting principles (GAAP). A note to financial statements to reconcile the audited financial statements to Form 5500 may be necessary to comply with the Employee Retirement Income Security Act.
- j. The amount and disposition of forfeited nonvested accounts. Specifically, identification of those amounts that are used to reduce future employer contributions, expenses, or reallocated to participant's accounts, in accordance with plan documents.

S00 Status

 **General Note:**The Status Section identifies changes to this Subtopic resulting from Accounting Standards Updates. The Section provides references to the affected Codification content and links to the related Accounting Standards Updates. Nonsubstantive changes for items such as editorial, link and similar corrections are included separately in Maintenance Updates.

General

962-205-S00-1 The following table identifies the changes made to this Subtopic.

Paragraph	Action	Accounting Standards Update	Date
962-205-S99-1	Amended	Accounting Standards Update No. 2019-07	07/26/2019

S15 Scope and Scope Exceptions

General Note: The Scope and Scope Exceptions Section outlines the items (for example, the entities, transactions, instruments, or events) to which the guidance in the Subtopic does or does not apply. In some cases, the Section may contain definitional or other text to frame the scope.

General

> Entities

962-205-S15-1 See paragraph [962-205-S99-1](#), Regulation S-X Rule 6A-01, for entities to which Rules 6A-01 through 6A-05 apply.

S20 Glossary

General Note: The Master Glossary contains all terms identified as glossary terms throughout the Codification. Clicking on any term in the Master Glossary will display where the term is used. The Master Glossary may contain identical terms with different definitions, some of which may not be appropriate for a particular Subtopic. For any particular Subtopic, users should only use the glossary terms included in the particular Subtopic Glossary Section (Section 20).

Valuation of Assets

See paragraph [962-205-S99-1](#), Regulation S-X Rule 6A-02(d), for the definition of the term value as used in that Rule.

S45 Other Presentation Matters

General Note: The Other Presentation Matters Section provides guidance on other presentation matters not addressed in the Recognition, Initial Measurement, Subsequent Measurement, and Derecognition Sections. Other presentation matters may include items such as current or long-term balance sheet classification, cash flow presentation, earnings per share matters, and so forth. The FASB Codification also contains

Presentation Topics, which provide guidance for general presentation and display items. See those Topics for general guidance.

General

> Format

962-205-S45-1 See paragraph [962-205-S99-1](#), Regulation S-X Rule 6A-03, for presentation requirements for statements of financial condition.

962-205-S45-2 See paragraph [962-205-S99-1](#), Regulation S-X Rule 6A-04, for presentation requirements for statements of income and changes in plan equity.

S50 Disclosure

 **General Note:** The Disclosure Section provides guidance regarding the disclosure in the notes to financial statements. In some cases, disclosure may relate to disclosure on the face of the financial statements.

General

> Valuation of Assets

962-205-S50-1 See paragraph [962-205-S99-1](#), Regulation S-X Rule 6A-02, for disclosure requirements for employee stock purchase, savings, and other plans within the scope of Rule 6A-01.

> Schedules

962-205-S50-2 See paragraph [962-205-S99-1](#), Regulation S-X Rule 6A-05, for schedules required to be filed for entities within the scope of Rule 6A-01.

S99 SEC Materials

General Note: As more fully described in [About the Codification](#), the Codification includes selected SEC and SEC Staff content for reference by public companies. The Codification does not replace or affect how the SEC or SEC Staff issues or updates SEC content. SEC Staff content does not constitute Commission-approved rules or interpretations of the SEC.

General

> SEC Rules, Regulations, and Interpretations

· > Regulation S-X

· · > Regulation S-X Rule 6A, Employee Stock Purchase, Savings and Similar Plans

962-205-S99-1 The following is the text of Regulation S-X Rule 6A, Employee Stock Purchase, Savings and Similar Plans (17 CFR 210.6A-01 through 17 CFR 210.6A-05).

Rule 6A-01. Application of Rules 6A-01 to 6A-05 (17 CFR 210.6A-01).

Application of §§ 210.6A-01 to 210.6A-05

(a) Sections 210.6A-01 to 210.6A-05 shall be applicable to financial statements filed for employee stock purchase, savings and similar plans.

(b) [Reserved]

[47 FR 56843, Dec. 21, 1982]

Rule 6A-02. Special Rules Applicable to Employee Stock Purchase, Savings and Similar Plans (17 CFR 210.6A-02).

The financial statements filed for persons to which this article is applicable shall be prepared in accordance with the following special rules in addition to the general rules in §§ 210.1-01 to 210.4-10. Where the requirements of a special rule differ from those prescribed in a general rule, the requirements of the special rule shall be met.

(a) Investment programs.

If the participating employees have an option as to the manner in which their deposits and contributions may be invested, a description of each investment program shall be given in a footnote or otherwise. The number of employees under each investment program shall be stated.

(b) Net asset value per unit.

Where appropriate, the number of units and the net asset value per unit shall be given by footnote or otherwise.

(c) Federal income taxes.

(1) If the plan is not subject to Federal income taxes, a note shall so state indicating briefly the principal assumptions on which the plan relied in not making provision for such taxes.

(2) State the Federal income tax status of the employee with respect to the plan.

(d) **Valuation of assets.**

The statement of financial condition shall reflect all investments at value, showing cost parenthetically. For purposes of this rule, the term *value* shall mean (1) market value for those securities having readily available market quotations and (2) fair value as determined in good faith by the trustee(s) for the plan (or by the person or persons who exercise similar responsibilities) with respect to other securities and assets.

[47 FR 56843, Dec. 21, 1982]

Rule 6A-03. Statements of Financial Condition (17 CFR 210.6A-03).

Statements of financial condition filed under this rule shall comply with the following provisions:

PLAN ASSETS

1. Investments in securities of participating employers. State separately each class of securities of the participating employer or employers.
2. Investments in securities of unaffiliated issuers.
 - (a) United States Government bonds and other obligations. Include only direct obligations of the United States Government.
 - (b) Other securities. State separately (1) marketable securities and (2) other securities.
3. Investments. Other than securities. State separately each major class.
4. Dividends and interest receivable.
5. Cash.
6. Other assets. State separately (a) total of amounts due from participating employers or any of their directors, officers and principal holders of equity securities; (b) total of amounts due from trustees or managers of the plan; and (c) any other significant amounts.

LIABILITIES AND PLAN EQUITY

7. Liabilities. State separately (a) total of amounts payable to participating employers; (b) total of amounts payable to participating employees; and (c) any other significant amounts.
8. Reserves and other credits. State separately each significant item and describe each such item by using an appropriate caption or by a footnote referred to in the caption.
9. Plan equity at close of period.

[27 FR 78710, Aug. 9, 1962. Redesignated at 47 FR 56843, Dec. 21, 1982]

Rule 6A-04. Statements of Comprehensive Income and Changes in Plan Equity (17 CFR 210.6A-04).

Statements of comprehensive income and changes in plan equity filed under this rule shall comply with the following provisions:

1. Net investment income.
 - (a) Income. State separately income from (1) cash dividends, (2) interest, and (3) other sources. Income from investments in or indebtedness of participating employers shall be segregated under the appropriate subcaption.
 - (b) Expenses. State separately any significant amounts.
 - (c) Net investment income.
2. Realized gain or loss on investments.

(a) State separately the net of gains or losses arising from transactions in (1) investments in securities of the participating employer or employers; (2) other investments in securities; and (3) other investments.

(b) State in a footnote or otherwise for each category of investment in paragraph (a) above the aggregate cost, the aggregate proceeds and the net gain or loss. State the principle followed in determining the cost of securities sold, e.g., *average cost* or *first-in, first-out*.

3. Unrealized appreciation or depreciation of investments.

(a) State the amount of increase or decrease in unrealized appreciation or depreciation of investments during the period.

(b) State in a footnote or otherwise the amount of unrealized appreciation or depreciation of investments at the beginning of the period of report, at the end of the period of report, and the increase or decrease during the period.

4. Contributions and deposits.

(a) State separately (1) total of amounts deposited by participating employees, and (2) total of amounts contributed by the participating employer or employers.

(b) If employees of more than one employer participate in the plan, state in tabular form in a footnote or otherwise the amount contributed by each employer and the deposits of the employees of each such employer.

5. Withdrawals, lapses and forfeitures. State separately (a) balances of employees' accounts withdrawn, lapsed or forfeited during the period; (b) amounts disbursed in settlement of such accounts; and (c) disposition of balances remaining after settlement specified in (b).

6. Plan equity at beginning of period.

7. Plan equity at end of period.

[27 FR 7870, Aug. 9, 1962. Redesignated at 47 FR 56843, Dec. 21, 1982; 83 FR 50203, Oct. 4, 2018]

Rule 6A-05. What Schedules Are to be Filed (17 CFR 210.6A-05).

(a) Schedule I of this section shall be filed as of the most recent audited statement of financial condition and any subsequent unaudited statement of financial condition being filed. Schedule II of this section shall be filed as of the date of each statement of financial condition being filed. Schedule III of this section shall be filed for each period for which a statement of comprehensive income and changes in plan equity is filed. All schedules shall be audited if the related statements are audited.

Schedule I—Investments. A schedule substantially in form prescribed by § 210.12-12 shall be filed in support of captions 1, 2 and 3 of each statement of financial condition unless substantially all of the information is given in the statement of financial condition by footnote or otherwise.

Schedule II—Allocation of plan assets and liabilities to investment program. If the plan provides for separate investment programs with separate funds, and if the allocation of assets and liabilities to the several funds is not shown in the statement of financial condition in columnar form or by the submission of separate statements for each fund, a schedule shall be submitted showing the allocation of each caption of each statement of financial condition filed to the applicable fund.

Schedule III—Allocation of plan income and changes in plan equity to investment programs. If the plan provides for separate investment programs with separate funds, and if the allocation of income and changes in plan equity to the several funds is not

shown in the statement of comprehensive income and changes in plan equity in columnar form or by the submission of separate statements for each fund, a schedule shall be submitted showing the allocation of each caption of each statement of comprehensive income and changes in plan equity filed to the applicable fund.

(b) [Reserved]

[45 FR 63676, Sept. 25, 1980. Redesignated at 47 FR 56843, Dec. 21, 1982, and amended at 50 FR 25215, June 18, 1985; 83 FR 50203, Oct. 4, 2018]

962 Plan Accounting—Defined Contribution Pension Plans

235 Notes to Financial Statements

S50 Disclosure

i General Note: The Disclosure Section provides guidance regarding the disclosure in the notes to financial statements. In some cases, disclosure may relate to disclosure on the face of the financial statements.

General

> Employee Stock Purchase, Savings, and Similar Plans

962-235-S50-1 See paragraph [962-205-S99-1](#), Regulation S-X Rule 6A-02, for required footnote disclosure pertaining to employee stock purchase, savings, and similar plans.

962 Plan Accounting—Defined Contribution Pension Plans

310 Receivables

00 Status

i General Note: The Status Section identifies changes to this Subtopic resulting from Accounting Standards Updates. The Section provides references to the affected Codification content and links to the related

Accounting Standards Updates. Nonsubstantive changes for items such as editorial, link and similar corrections are included separately in Maintenance Updates.

General

962-310-00-1 The following table identifies the changes made to this Subtopic.

Paragraph	Action	Accounting Standards Update	Date
962-310-35-2	Added	Accounting Standards Update No. 2010-25	09/28/2010
962-310-45-2	Added	Accounting Standards Update No. 2010-25	09/28/2010
962-310-50-1	Added	Accounting Standards Update No. 2010-25	09/28/2010
962-310-65-1	Added	Accounting Standards Update No. 2010-25	09/28/2010

05 Overview and Background

i General Note:The Overview and Background Section provides overview and background material for the guidance contained in the Subtopic. It does not provide the historical background or due process. It may contain certain material that users generally consider useful to understand the typical situations addressed by the standards. The Section does not summarize the accounting and reporting requirements.

General

962-310-05-1 This Subtopic provides guidance on accounting for receivables for defined contribution plans.

15 Scope and Scope Exceptions

i General Note:The Scope and Scope Exceptions Section outlines the items (for example, the entities, transactions, instruments, or events) to which the guidance in the Subtopic does or does not apply. In some cases, the Section may contain definitional or other text to frame the scope.

General Note for Financial Instruments: Some of the items subject to the guidance in this Subtopic are [financial instruments](#). For guidance on matters related broadly to all financial instruments, (including the fair value option, accounting for registration payment arrangements, and broad financial instrument disclosure requirements), see Topic [825](#). See Section [825-10-15](#) for guidance on the scope of the Financial Instruments Topic.

General

> Overall Guidance

962-310-15-1 This Subtopic follows the same Scope and Scope Exceptions as outlined in the Overall Subtopic, see Section [962-10-15](#).

20 Glossary

General Note: The Master Glossary contains all terms identified as glossary terms throughout the Codification. Clicking on any term in the Master Glossary will display where the term is used. The Master Glossary may contain identical terms with different definitions, some of which may not be appropriate for a particular Subtopic. For any particular Subtopic, users should only use the glossary terms included in the particular Subtopic Glossary Section (Section 20).

Contributions Receivable

Contributions receivable are the amounts due, as of the date of the financial statements, to the plan from employers, participants, and other sources of funding (for example, state subsidies or federal grants). They include amounts due pursuant to firm commitments, as well as legal or contractual requirements.

25 Recognition

General Note: The Recognition Section provides guidance on the required criteria, timing, and location (within the financial statements) for recording a particular item in the financial statements. Disclosure is not recognition.

General Note for Fair Value Option: Some of the items subject to the guidance in this Subtopic may qualify for application of the Fair Value Option Subsections of Subtopic [825-10](#). Those Subsections (see paragraph [825-10-05-5](#)) address circumstances in which entities may choose, at specified election dates, to measure eligible items at fair value (the fair value option). See Section [825-10-15](#) for guidance on the scope of the Fair Value Option Subsections of the Financial Instruments Topic.

General

> Employer Contributions

- 962-310-25-1** [Contributions receivable](#) include those pursuant to formal commitments as well as legal or contractual requirements. With respect to an employer's contributions, evidence of a formal commitment may include any of the following:
- a. A resolution by the employer's governing body approving a specified contribution
 - b. A consistent pattern of making payments after the plan's year-end pursuant to an established contribution policy that attributes such subsequent payments to the preceding plan year
 - c. A deduction of a contribution for federal tax purposes for periods ending on or before the financial statement date
 - d. The employer's recognition as of the financial statement date of a contribution payable to the plan. The existence of an accrued contribution payable in the employer's financial statements does not, by itself, provide sufficient support for recognition of a contribution receivable by the plan.

35 Subsequent Measurement

i General Note: The Subsequent Measurement Section provides guidance on an entity's subsequent measurement and subsequent recognition of an item. Situations that may result in subsequent changes to carrying amount include impairment, credit losses, fair value adjustments, depreciation and amortization, and so forth.

General

962-310-35-1 [Contributions receivable](#) shall include an allowance for estimated uncollectible amounts.

> Participant Loans

962-310-35-2 Participant loans shall be measured at their unpaid principal balance plus any accrued but unpaid interest.

45 Other Presentation Matters

i General Note: The Other Presentation Matters Section provides guidance on other presentation matters not addressed in the Recognition, Initial Measurement, Subsequent Measurement, and Derecognition Sections. Other presentation matters may include items such as current or long-term balance sheet classification, cash flow presentation, earnings per share matters, and so forth. The FASB Codification also contains Presentation Topics, which provide guidance for general presentation and display items. See those Topics for general guidance.

General

962-310-45-1 [Contributions receivable](#) shall be separately identified.

> Participant Loans

962-310-45-2 For reporting purposes, participant loans shall be classified as notes receivable from participants.

50 Disclosure

i General Note: The Disclosure Section provides guidance regarding the disclosure in the notes to financial statements. In some cases, disclosure may relate to disclosure on the face of the financial statements.

General

> Participant Loans

962-310-50-1 The fair value disclosures prescribed in paragraphs [825-10-50-10 through 50-16](#) are not required for participant loans.

65 Transition and Open Effective Date Information

i General Note: The Transition Section contains a description of the required transition provisions and a list of the related paragraphs that have been modified. This Section will retain the transition content during the transition period. After the transition period, the transition content will be removed yet will be available in archived versions of the Section.

General

962-310-65-1 Paragraph superseded on 06/29/2012 after the end of the transition period stated in Accounting Standards Update No. 2010-25, *Plan Accounting—Defined Contribution Pension Plans (Topic 962): Reporting Loans to Participants by Defined Contribution Pension Plans*.

962 Plan Accounting—Defined Contribution Pension Plans

325 Investments—Other

00 Status

General Note:The Status Section identifies changes to this Subtopic resulting from Accounting Standards Updates. The Section provides references to the affected Codification content and links to the related Accounting Standards Updates. Nonsubstantive changes for items such as editorial, link and similar corrections are included separately in Maintenance Updates.

General

962-325-00-1 The following table identifies the changes made to this Subtopic.

Paragraph	Action	Accounting Standards Update	Date
Benefit-Responsive Investment Contract	Superseded	Accounting Standards Update No. 2015-12 (Part I)	07/31/2015
Benefits	Amended	Accounting Standards Update No. 2016-19	12/14/2016
Benefits (3rd def.)	Added	Accounting Standards Update No. 2014-06	03/14/2014
Defined Contribution Plan	Amended	Accounting Standards Update No. 2014-06	03/14/2014
Level 1 Inputs	Added	Accounting Standards Update No. 2012-04	10/01/2012
Net Assets Available for Benefits Sponsor (3rd def.)	Added	Accounting Standards Update No. 2012-04	10/01/2012
962-325-35-1A	Added	Accounting Standards Update No. 2012-04	10/01/2012
962-325-35-1B	Added	Accounting Standards Update No. 2015-12 (Part III)	07/31/2015
962-325-35-2	Amended	Accounting Standards Update No. 2012-04	10/01/2012

through 35-4 962- 325-35- 2	Amended	Accounting Standards Update No. 2010-25	09/28/2010
962- 325-35- 5	Amended	Accounting Standards Update No. 2015-12 (Part I)	07/31/2015
962- 325-35- 5A	Added	Accounting Standards Update No. 2015-12 (Part I)	07/31/2015
962- 325-35- 6	Amended	Accounting Standards Update No. 2015-12 (Part I)	07/31/2015
962- 325-35- 9	Amended	Accounting Standards Update No. 2015-12 (Part I)	07/31/2015
962- 325-35- 9	Amended	Accounting Standards Update No. 2014-06	03/14/2014
962- 325-35- 12	Superseded	Accounting Standards Update No. 2015-12 (Part I)	07/31/2015
962- 325-45- 1	Superseded	Accounting Standards Update No. 2015-12 (Part II)	07/31/2015
through 45-4 962- 325-45- 5	Amended	Accounting Standards Update No. 2015-12 (Part II)	07/31/2015
962- 325-45- 5	Amended	Accounting Standards Update No. 2015-12 (Part I)	07/31/2015
962- 325-45- 5	Amended	Accounting Standards Update No. 2010-25	09/28/2010
962- 325-45- 7	Superseded	Accounting Standards Update No. 2015-12 (Part II)	07/31/2015
962- 325-45- 7	Amended	Accounting Standards Update No. 2012-04	10/01/2012
962- 325-45- 10	Superseded	Accounting Standards Update No. 2010-25	09/28/2010

962-325-50-1	Amended	Accounting Standards Update No. 2015-12 (Part II)	07/31/2015
962-325-50-1	Amended	Accounting Standards Update No. 2012-04	10/01/2012
962-325-50-1A	Superseded	Accounting Standards Update No. 2015-12 (Part II)	07/31/2015
962-325-50-1A	Added	Accounting Standards Update No. 2012-04	10/01/2012
962-325-50-2A	Added	Accounting Standards Update No. 2015-12 (Part III)	07/31/2015
962-325-50-2B	Added	Accounting Standards Update No. 2015-12 (Part III)	07/31/2015
962-325-50-3	Amended	Accounting Standards Update No. 2015-12 (Part I)	07/31/2015
962-325-50-4	Superseded	Accounting Standards Update No. 2015-12 (Part I)	07/31/2015
962-325-50-5	Amended	Maintenance Update 2016-11 	06/27/2016
962-325-50-6	Superseded	Accounting Standards Update No. 2017-06	02/27/2017
962-325-50-6	Amended	Accounting Standards Update No. 2015-12 (Part II)	07/31/2015
962-325-50-6	Amended	Accounting Standards Update No. 2015-12 (Part I)	07/31/2015
962-325-50-7	Amended	Accounting Standards Update No. 2017-06	02/27/2017
962-325-50-7	Amended	Accounting Standards Update No. 2015-12 (Part II)	07/31/2015
962-325-50-8	Amended	Accounting Standards Update No. 2017-06	02/27/2017

962-325-50-8A through 50-8C	Added	Accounting Standards Update No. 2017-06	02/27/2017
962-325-50-9	Added	Accounting Standards Update No. 2015-12 (Part II)	07/31/2015
962-325-55-2	Amended	Accounting Standards Update No. 2014-06	03/14/2014
962-325-55-3	Amended	Accounting Standards Update No. 2012-04	10/01/2012
962-325-55-4	Amended	Accounting Standards Update No. 2012-04	10/01/2012
962-325-55-7	Amended	Accounting Standards Update No. 2012-04	10/01/2012
962-325-55-8	Amended	Accounting Standards Update No. 2012-04	10/01/2012
962-325-55-15	Amended	Accounting Standards Update No. 2014-06	03/14/2014
962-325-55-16	Superseded	Accounting Standards Update No. 2015-12 (Part II)	07/31/2015
962-325-55-16	Amended	Accounting Standards Update No. 2010-25	09/28/2010
962-325-55-17	Amended	Accounting Standards Update No. 2025-12	12/17/2025
962-325-55-17	Amended	Accounting Standards Update No. 2018-09	07/16/2018
962-325-55-17	Added	Accounting Standards Update No. 2015-12 (Part II)	07/31/2015
962-325-55-18	Added	Accounting Standards Update No. 2017-06	02/27/2017

05 Overview and Background

i General Note: The Overview and Background Section provides overview and background material for the guidance contained in the Subtopic. It does not provide the historical background or due process. It may contain certain material that users generally consider useful to understand the typical situations addressed by the standards. The Section does not summarize the accounting and reporting requirements.

General

- 962-325-05-1** This Subtopic provides guidance on investments for defined contribution pension plans. In particular, this Subtopic provides guidance on the reporting of investment and insurance contracts held by defined contribution pension plans.
- 962-325-05-2** Defined benefit plans provide participants with a determinable benefit based on a formula provided for in the plans, whereas defined contribution plans provide benefits based on amounts contributed to an employee's individual account plus or minus the following:
- a. Forfeitures
 - b. Investment experience
 - c. Administrative expenses.
- 962-325-05-3** The Internal Revenue Code generally requires that all investment experience under defined contribution plans be allocated to individual account balances.
- 962-325-05-4** A [defined contribution plan](#) provides for participant-directed investment programs if it allows participants to choose among various investment alternatives. The available alternatives are usually pooled fund vehicles, such as registered investment companies or commingled funds of banks, that provide varying kinds of investments—for example, equity funds and fixed income funds. The participant may select among the various available alternatives and periodically change that selection.

15 Scope and Scope Exceptions

i General Note: The Scope and Scope Exceptions Section outlines the items (for example, the entities, transactions, instruments, or events) to which the guidance in the Subtopic does or does not apply. In some cases, the Section may contain definitional or other text to frame the scope.

General

> Overall Guidance

962-325-15-1 This Subtopic follows the same Scope and Scope Exceptions as outlined in the Overall Topic, see Section [962-10-15](#).

20 Glossary

General Note: The Master Glossary contains all terms identified as glossary terms throughout the Codification. Clicking on any term in the Master Glossary will display where the term is used. The Master Glossary may contain identical terms with different definitions, some of which may not be appropriate for a particular Subtopic. For any particular Subtopic, users should only use the glossary terms included in the particular Subtopic Glossary Section (Section 20).

Benefits

The monetary or in-kind benefits or benefit coverage to which participants may be entitled under a pension plan or a health and welfare plan (which can include active, terminated, and retired employees or their dependents or beneficiaries). Examples of benefits may include, but are not limited to, health care benefits, life insurance, legal, educational, and advisory services, pension benefits, disability benefits, death benefits, and benefits due to termination of employment.

Defined Contribution Plan

A plan that provides an individual account for each participant and provides benefits that are based on all of the following: amounts contributed to the participant's account by the employer or employee; investment experience; and any forfeitures allocated to the account, less any administrative expenses charged to the plan.

- a. **Defined contribution health and welfare plans**—Defined contribution health and welfare plans maintain an individual account for each plan participant. They have terms that specify the means of determining the contributions to participants' accounts, rather than the amount of benefits the participants are to receive. The benefits a plan participant will receive are limited to the amount contributed to the participant's account, investment experience, expenses, and any forfeitures allocated to the participant's account. These plans also include flexible spending arrangements.
- b. **Defined contribution postretirement plan**—A plan that provides postretirement benefits in return for services rendered, provides an individual account for each plan participant, and specifies how contributions to the individual's account are to be determined rather than specifies the amount of benefits the individual is to receive. Under a defined contribution postretirement plan, the benefits a plan participant will receive depend solely on the amount contributed to the plan participant's account, the returns earned on investments of those contributions, and the forfeitures of other plan participants' benefits that may be allocated to that plan participant's account.

Fair Value

The price that would be received to sell an asset or paid to transfer a liability in an [orderly transaction](#) between [market participants](#) at the measurement date.

Fully Benefit-Responsive Investment Contract

An investment contract is considered fully benefit-responsive if all of the following criteria are met for that contract, analyzed on an individual basis:

- a. The investment contract is effected directly between the plan and the issuer and prohibits the plan from assigning or selling the contract or its proceeds to another party without the consent of the issuer.
- b. Either of the following conditions exists:
 1. The repayment of principal and interest credited to participants in the plan is a financial obligation of the issuer of the investment contract.
 2. Prospective interest crediting rate adjustments are provided to participants in the plan on a designated pool of investments held by the plan or the contract issuer, whereby a financially responsible third party, through a contract generally referred to as a wrapper, must provide assurance that the adjustments to the interest crediting rate will not result in a future interest crediting rate that is less than zero.

If an event has occurred such that realization of full contract value for a particular investment contract is no longer probable (for example, a significant decline in creditworthiness of the contract issuer or wrapper provider), the investment contract shall no longer be considered fully benefit-responsive.

- c. The terms of the investment contract require all permitted participant-initiated transactions with the plan to occur at contract value with no conditions, limits, or restrictions. Permitted participant-initiated transactions are those transactions allowed by the plan, such as any of the following:
 1. Withdrawals for benefits
 2. Loans
 3. Transfers to other funds within the plan.
- d. An event that limits the ability of the plan to transact at contract value with the issuer and that also limits the ability of the plan to transact at contract value with the participants in the plan, such as any of the following, must be probable of not occurring:
 1. Premature termination of the contracts by the plan
 2. Plant closings
 3. Layoffs
 4. Plan termination
 5. Bankruptcy
 6. Mergers
 7. Early retirement incentives.
- e. The plan itself must allow participants reasonable access to their funds.

If access to funds is substantially restricted by plan provisions, investment contracts held by those plans may not be considered to be fully benefit-responsive. For example, if plan participants are allowed access at contract value to all or a portion of their account balances only upon termination of their participation in the plan, it would not be considered reasonable access and, therefore, investment contracts held by that plan would generally not be deemed to be fully benefit-responsive. However, in plans with a single investment fund that allow reasonable access to assets by inactive participants, restrictions on access to assets by active participants consistent with the objective of the plan (for example, retirement or health and welfare benefits) will not affect the benefit

responsiveness of the investment contracts held by those single-fund plans. Also, if a plan limits participants' access to their account balances to certain specified times during the plan year (for example, semiannually or quarterly) to control the administrative costs of the plan, that limitation generally would not affect the benefit responsiveness of the investment contracts held by that plan. In addition, administrative provisions that place short-term restrictions (for example, three or six months) on transfers to competing fixed-rate investment options to limit arbitrage among those investment options (equity wash provisions) would not affect a contract's benefit responsiveness.

Investment Fund Option

An investment alternative provided to a participant in a defined contribution plan. The alternatives are usually pooled fund vehicles, such as any of the following:

- a. Registered investment companies (meaning, mutual funds)
- b. Commingled funds of banks
- c. Insurance entity pooled separate accounts providing varying kinds of investments, for example, equity funds and fixed income funds.

The participant may select from among the various available alternatives and periodically change that selection.

Level 1 Inputs

Quoted prices (unadjusted) in active markets for identical assets or liabilities that the reporting entity can access at the measurement date.

Market Participants

Buyers and sellers in the principal (or most advantageous) market for the asset or liability that have all of the following characteristics:

- a. They are independent of each other, that is, they are not [related parties](#), although the price in a related-party transaction may be used as an input to a fair value measurement if the reporting entity has evidence that the transaction was entered into at market terms
- b. They are knowledgeable, having a reasonable understanding about the asset or liability and the transaction using all available information, including information that might be obtained through due diligence efforts that are usual and customary
- c. They are able to enter into a transaction for the asset or liability
- d. They are willing to enter into a transaction for the asset or liability, that is, they are motivated but not forced or otherwise compelled to do so.

Net Assets Available for Benefits

The difference between a plan's assets and its liabilities. For purposes of this definition, a plan's liabilities do not include participants' accumulated plan benefits.

Orderly Transaction

A transaction that assumes exposure to the market for a period before the measurement date to allow for marketing activities that are usual and customary for transactions involving such assets or liabilities; it is not a forced transaction (for example, a forced liquidation or distress sale).

Related Parties

Related parties include:

- a. Affiliates of the entity

- b. Entities for which investments in their equity securities would be required, absent the election of the fair value option under the [Fair Value Option Subsection](#) of Section 825-10-15, to be accounted for by the equity method by the investing entity
- c. Trusts for the benefit of employees, such as pension and profit-sharing trusts that are managed by or under the trusteeship of management
- d. Principal owners of the entity and members of their immediate families
- e. Management of the entity and members of their immediate families
- f. Other parties with which the entity may deal if one party controls or can significantly influence the management or operating policies of the other to an extent that one of the transacting parties might be prevented from fully pursuing its own separate interests
- g. Other parties that can significantly influence the management or operating policies of the transacting parties or that have an ownership interest in one of the transacting parties and can significantly influence the other to an extent that one or more of the transacting parties might be prevented from fully pursuing its own separate interests.

Sponsor

In the case of a pension plan established or maintained by a single employer, the employer; in the case of a plan established or maintained by an employee entity, the employee entity; in the case of a plan established or maintained jointly by two or more employers or by one or more employers and one or more employee entities, the association, committee, joint board of trustees, or other group of representatives of the parties that have established or that maintain the pension plan.

25 Recognition

General Note: The Recognition Section provides guidance on the required criteria, timing, and location (within the financial statements) for recording a particular item in the financial statements. Disclosure is not recognition.

General

962-325-25-1

The accrual basis requires that purchases and sales of securities be recorded on a trade-date basis. However, if the settlement date is after the financial statement date, accounting on a settlement-date basis is acceptable if both of the following conditions exist:

- a. The fair value of securities purchased or sold immediately before the financial statement date does not change significantly from the trade date to the financial statement date.
- b. The purchases or sales do not significantly affect the composition of the plan's assets available for benefits.

35 Subsequent Measurement

General Note: The Subsequent Measurement Section provides guidance on an entity's subsequent measurement and subsequent recognition of an item. Situations that may result in subsequent changes to carrying amount include impairment, credit losses, fair value adjustments, depreciation and amortization, and so forth.

General

 [Related Proposed ASUs](#)

> Reporting at Fair Value

962-325-35-1 Plan investments should generally be presented at their [fair value](#) at the reporting date (see paragraph [965-325-35-3](#) for special provisions concerning the valuation of insurance contracts and paragraph [962-325-35-5](#) for special provisions concerning the valuation of fully benefit-responsive investment contracts).

962-325-35-1A If significant, the fair value of an investment shall be reduced by brokerage commissions and other costs normally incurred in a sale (similar to fair value less cost to sell).

962-325-35-1B If a plan's fiscal year-end does not coincide with a month-end, the plan may measure investments and investment-related accounts (for example, a liability for a pending trade with a broker) using the month-end that is closest to the plan's fiscal year-end. That election shall be applied consistently from year to year.

962-325-35-2 Some plan investments may not have [Level 1 inputs](#) to measure fair value. Therefore, they will need to be measured in accordance with the other valuation techniques described in Topic [820](#). Examples include all of the following:

- a. Real estate
- b. Mortgages or other loans
- c. Limited partnerships
- d. Restricted securities
- e. Unregistered securities
- f. Securities that are traded in inactive markets
- g. Nontransferable investment contracts.

962-325-35-3 Both of the following are the obligation of the plan's trustees, the administrator, and the corporate trustee:

- a. To satisfy themselves that all appropriate factors relevant to the value of the investments have been considered
- b. To select a method to measure the fair value of the investments.

962-325-35-4 To the extent considered necessary, the plan may use the services of a specialist to assist the plan (or the administrators) in measuring the fair value of investments. Topic [820](#) provides guidance on how to measure fair value.

> Investment and Insurance Contracts

- 962-325-35-5** Defined contribution plans, including both health and welfare and pension plans, shall report investments (including derivative contracts) at fair value (excluding insurance contracts and [fully benefit-responsive investment contracts](#) [see paragraph [962-325-35-6](#) for special provisions on the valuation of insurance contracts and paragraph [962-325-35-5A](#) for special provisions on the valuation of fully benefit-responsive investment contracts]).
- 962-325-35-5A** Contract value is the relevant measure for the portion of the net assets available for benefits of a [defined contribution plan](#) attributable to fully benefit-responsive investment contracts.
- 962-325-35-6** Insurance contracts, as defined by Subtopic [944-20](#), shall be presented in the same manner as specified in the annual report filed by the plan with certain governmental agencies in accordance with the Employee Retirement Income Security Act; that is, either at fair value or at amounts determined by the insurance entity (contract value). Plans not subject to the Employee Retirement Income Security Act shall present insurance contracts as if the plans were subject to the reporting requirements of the Act.
- 962-325-35-7** See paragraphs [944-20-05-5 through 05-7](#) for a discussion of the purpose, types, and a general characterization of insurance transactions.
- 962-325-35-8** See paragraphs [944-20-15-16 through 15-19](#) for a discussion of certain types of insurance contracts, including long-duration contracts that do not subject the insurance entities to mortality or morbidity risks (investment contracts) and annuity contracts.

> Evaluation of Benefit Responsiveness

- 962-325-35-9** If a plan holds multiple contracts, each contract shall be evaluated individually for benefit responsiveness.
- 962-325-35-10** Contracts that provide for prospective interest adjustments may still be fully benefit-responsive provided that the terms of the contracts specify that the crediting interest rate cannot be less than zero.

> Application of Benefit Responsiveness

- 962-325-35-11** Paragraphs [962-325-55-2 through 55-15](#) include implementation guidance for the application of the definition of fully benefit-responsive for defined contribution plan investments.
- 962-325-35-12** [Paragraph superseded by Accounting Standards Update No. 2015-12 \(Part I\).](#)

45 Other Presentation Matters

i General Note: The Other Presentation Matters Section provides guidance on other presentation matters not addressed in the Recognition, Initial Measurement, Subsequent Measurement, and Derecognition Sections. Other presentation matters may include items such as current or long-term balance sheet classification, cash flow presentation, earnings per share matters, and so forth. The FASB Codification also contains Presentation Topics, which provide guidance for general presentation and display items. See those Topics for general guidance.

General

962-325-45-1 [Paragraph superseded by Accounting Standards Update No. 2015-12](#) (Part II).

962-325-45-2 [Paragraph superseded by Accounting Standards Update No. 2015-12](#) (Part II).

962-325-45-3 [Paragraph superseded by Accounting Standards Update No. 2015-12](#) (Part II).

962-325-45-4 [Paragraph superseded by Accounting Standards Update No. 2015-12](#) (Part II).

962-325-45-5 Investments measured using fair value in the statement of net assets available for benefits or in the notes shall be presented by general type, such as the following:

- a. Registered investment companies (for example, mutual funds)
- b. Government securities
- c. Common-collective trusts
- d. Pooled separate accounts
- e. Short-term securities
- f. Corporate bonds
- g. Common stocks
- h. Mortgages
- i. [Subparagraph superseded by Accounting Standards Update No. 2010-25.](#)
- j. Real estate
- k. Self-directed brokerage accounts (that is, an investment option that allows participants to select investments outside the plan's core options).

For the presentation of [fully benefit-responsive investment contracts](#), which are measured at contract value, see paragraphs [962-325-35-5A](#) and [962-325-50-3](#).

962-325-45-6 The presentation shall indicate whether the fair values of the investments have been measured by quoted market prices in an active market or were determined otherwise.

962-325-45-7 [Paragraph superseded by Accounting Standards Update No. 2015-12](#) (Part II).

962-325-45-8 If a [defined contribution plan](#) provides for participant-directed and non-participant-directed investment programs, the plan shall disclose information in the financial statements about the net assets and significant components of the changes in net assets relating to the non-participant-directed program

with such reasonable detail, either in the financial statements or accompanying notes, as is necessary to identify the types of investments and changes therein.

962-325-45-9 The interest income earned and rebate interest paid as a result of securities lending activity shall be recorded on the statement of changes in net assets available for benefits.

962-325-45-10 [Paragraph superseded by Accounting Standards Update No. 2010-25.](#)

50 Disclosure

i General Note: The Disclosure Section provides guidance regarding the disclosure in the notes to financial statements. In some cases, disclosure may relate to disclosure on the face of the financial statements.

General

[Related Proposed ASUs](#)

962-325-50-1 Disclosure of a defined contribution plan's accounting policies shall include a description of the valuation techniques and inputs used to measure the [fair value](#) less costs to sell, if significant, of investments (as required by Section [820-10-50](#)) and a description of the methods and significant assumptions used to measure the reported value of insurance contracts (if any). However, defined contribution pension plans are exempt from the requirements in paragraph [820-10-50-2B\(a\)](#) to disaggregate assets by nature, characteristics, and risks. The disclosures of information by classes of assets required by Section [820-10-50](#) shall be provided by general type of plan assets consistent with paragraph [962-325-45-5](#).

962-325-50-1A [Paragraph superseded by Accounting Standards Update No. 2015-12 \(Part II\).](#)

962-325-50-2 Original cost of investments is not required to be disclosed.

962-325-50-2A If applicable, a plan shall disclose the accounting policy election to measure investments and investment-related accounts using the month-end that is closest to the plan's fiscal year-end in accordance with paragraph [962-325-35-1B](#) and the month-end measurement date.

962-325-50-2B If a plan measures investments and investment-related accounts in accordance with paragraph [962-325-35-1B](#) and contributions, distributions, and/or significant events (such as a plan amendment, a merger, or a termination) occur between the month-end date used to measure investments and investment-related accounts and the plan's fiscal year-end, the plan shall disclose the amounts of those contributions, distributions, and/or significant events.

> Fully Benefit-Responsive Investment Contracts

962-325-50-3 Defined contribution plans shall disclose the following in connection with [fully benefit-responsive investment contracts](#), in the aggregate:

a. A description of the nature of those investment contracts (including how they operate) by the type of investment contract (for example, synthetic investment contracts or traditional investment contracts).

1. [Subparagraph superseded by Accounting Standards Update No. 2015-12.](#) (Part I).

2. [Subparagraph superseded by Accounting Standards Update No. 2015-12.](#) (Part I).

b. [Subparagraph superseded by Accounting Standards Update No. 2015-12.](#) (Part I).

c. [Subparagraph superseded by Accounting Standards Update No. 2015-12.](#) (Part I).

d. A description of the events that limit the ability of the plan to transact at contract value with the issuer, including a statement that the occurrence of each of those events that would limit the plan's ability to transact at contract value with participants in the plan is not probable of occurring. The following are examples of events that may limit the ability of the plan to transact at contract value:

1. Premature termination of the contracts by the plan
2. Plant closings
3. Layoffs
4. Plan termination
5. Bankruptcy
6. Mergers
7. Early retirement incentives.

The term *probable* is used in this Subtopic consistent with its use in [Section 450-20-25](#).

e. A description of the events and circumstances that would allow issuers to terminate fully benefit-responsive investment contracts with the plan and settle at an amount different from contract value.

f. The total contract value of each type of investment contract (for example, synthetic investment contracts or traditional investment contracts).

962-325-50-4 [Paragraph superseded by Accounting Standards Update No. 2015-12](#) (Part I).

> Non-Participant-Directed Investments

962-325-50-5 If the disclosures regarding non-participant-directed investments required by paragraph [962-325-45-5](#) are not made in the basic financial statements, they shall be made in the notes to financial statements. If a plan offers a program that is both participant- and non-participant-directed, and if the participant- and non-participant-directed amounts cannot be separately determined, the plan will be deemed to be non-participant-directed for purposes of these disclosures. For example, an employer-sponsored plan offers six [investment fund options](#), one of which is a stock fund that includes only the employer's stock. Employees at their discretion may invest their contributions in any of the six options. However, the employer's contribution to the plan (for example, the entity match) is automatically invested in the employer's stock fund. The stock fund is considered to be nonparticipant-directed for purposes of this disclosure if the employee and the employer amounts cannot be separately determined.

962-325-50-6 [Paragraph superseded by Accounting Standards Update No. 2017-06.](#)

> Interests in Master Trusts

- 962-325-50-7** A plan shall disclose the following in the notes to financial statements for each period for which a statement of changes in net assets available for benefits is presented:
- Net appreciation or depreciation in the fair value of investments of the master trust. Net appreciation or depreciation includes realized gains and losses on investments that were both purchased and sold during the period as well as unrealized appreciation or depreciation of the investments held at year-end.
 - Investment income (exclusive of (a)).
- 962-325-50-8** A plan also shall include in the notes to financial statements both of the following:
- Description of the basis used to allocate both of the following:
 - Net assets
 - Total investment income. See paragraph [962-325-50-7](#) for the components of total investment income.
 - [Subparagraph superseded by Accounting Standards Update No. 2017-06.](#)
 - For a plan with an undivided interest in the master trust (that is, when the plan has a proportionate, rather than a specific, interest in the master trust), its percentage interest in the master trust as of the date of each statement of net assets available for benefits presented.
- 962-325-50-8A** In the notes to financial statements a plan shall include the investments of a master trust measured using fair value presented by general type of investment, such as the following, as of the date of each statement of net assets available for benefits presented:
- Registered investment companies (for example, mutual funds)
 - Government securities
 - Common-collective trusts
 - Pooled separate accounts
 - Short-term securities
 - Corporate bonds
 - Common stocks
 - Mortgages
 - Real estate
 - Self-directed brokerage accounts (that is, an investment option that allows participants to select investments outside the plan's core options).
- For the presentation of [fully benefit-responsive investment contracts](#), which are measured at contract value, see paragraphs [962-325-35-5A](#) and [962-325-50-3](#).
- 962-325-50-8B** A plan shall disclose the dollar amount of its interest in each general type of investment held by the master trust, consistent with the disclosure required by paragraph [962-325-50-8A](#). See paragraph [962-325-55-18](#) for an example of this disclosure.
- 962-325-50-8C** A plan also shall disclose the master trust's other assets and liabilities and the dollar amount of the plan's interest in each of those other assets and liabilities. Examples of those balances include the following:
- Amounts due from brokers for securities sold
 - Amounts due to brokers for securities purchased
 - Receivables relating to derivatives
 - Payables relating to derivatives

e. Accrued interest and dividends

f. Accrued expenses.

See paragraph [962-325-55-18](#) for an example of this disclosure.

> Investments Measured Using the Net Asset Value per Share Practical Expedient

962-325-50-9 If an investment is measured using the net asset value per share (or its equivalent) practical expedient in paragraph [820-10-35-59](#) and that investment is in a fund that files U.S. Department of Labor Form 5500 as a direct filing entity, disclosure of that investment's significant investment strategy, as discussed in paragraph [820-10-50-6A\(a\)](#), is not required.

55 Implementation Guidance and Illustrations

General Note: The Implementation Guidance and Illustrations Section contains implementation guidance and illustrations that are an integral part of the Subtopic. The implementation guidance and illustrations do not address all possible variations. Users must consider carefully the actual facts and circumstances in relation to the requirements of the Subtopic.

General

> Implementation Guidance

962-325-55-1 The following illustrate [fair value](#) and contract value reporting guidance in paragraphs [962-325-35-5 through 35-12](#) (also see [fully benefit-responsive investment contract](#)) for defined-contribution plan investments.

962-325-55-2 The value is determined within the context of the objectives of financial statements for a [defined contribution plan](#). The valuation must reflect the ability of the plan to pay [benefits](#) from the perspective of the participants. This value is then reflected on participants' statements to disclose the amount they can expect to receive when they exercise their rights to withdraw, borrow, or transfer funds under the terms of the plan.

· > A Five-Year Public Bond (or Portfolio of Bonds) Guaranteed by a Third Party to Have a Fixed Value at the End of Three Years

962-325-55-3 A five-year public bond (or portfolio of bonds) is guaranteed by a third party to have a fixed value at the end of three years. The guarantee applies only to the extent that the bond (or portfolio) is not liquidated before the end of three years. Liquidation within three years is at fair value.

962-325-55-4 Because guaranteed proceeds from the bond are not available for benefit withdrawals or transfers prior to maturity, the contract is not fully benefit-responsive and, therefore, net assets available for benefits shall reflect the fair value for this investment contract. Fair value should be measured in accordance with Topic [820](#).

· > A Benefit-Responsive Investment Contract

962-325-55-5 A contract provides a fixed crediting interest rate, and a financially responsible entity guarantees liquidity at contract value before maturity for any and all participant-initiated benefit withdrawals, loans, or transfers arising under the terms of the plan, which allows access for all participants on a quarterly basis.

962-325-55-6 The net assets available for benefits should reflect the contract value for this investment contract, because the plan will receive such value and only such value if the contract is accessed to pay participant benefits or transfers.

962-325-55-7 This contract would be viewed as fully benefit-responsive. Examples of some variations on this contract, and their impact on the valuation, include the following:

- a. Liquidity at contract value is not guaranteed for benefits that are attributable to termination of the plan, a plan spinoff to a new employer plan, or amendments to plan provisions. Net assets available for benefits should reflect the contract value for this investment contract, unless it is probable that the plan will be terminated, spun off, or amended.
- b. Liquidity at contract value is not guaranteed for benefits that are attributable to the layoff of a large group of workers or an early retirement program. Net assets available for benefits should reflect the contract value for this investment contract, unless it is probable that termination of the employment of a significant number of employees will occur.
- c. The contract will pay for benefits of up to 30 percent of the contract at contract value, and any excess benefits will be at some adjusted value. Net assets available for benefits should reflect the fair value for this investment contract because they are not fully benefit-responsive.
- d. The contract will pay benefits at contract value, but only if the issuer of the contract determines that there is sufficient liquidity in the portfolio of assets that backs the contract. Because the third party has not guaranteed liquidity for participant-initiated withdrawals, net assets available for benefits should reflect the fair value for this investment contract because they are not fully benefit-responsive.
- e. The contract will not pay benefits at contract value if benefits are due to participant transfers to another fixed income investment option, unless the funds are invested in an equity option for at least three months (equity wash provisions). Net assets available for benefits shall reflect the contract value for this investment contract because the contract would be considered fully benefit-responsive.

· > A Five-Year, Non-Benefit-Responsive Investment Contract That Has No Liquid Market for Trading

962-325-55-8 Net assets available for benefits should reflect the fair value for such an investment contract because there is no guarantee of liquidity at contract value. Fair value would be measured in the same manner as for an illiquid bond. Topic [820](#) includes a discussion of methods used to measure the fair values of illiquid instruments.

· > A Benefit-Responsive, Participating, Separate Account Investment Contract

962-325-55-9 A financially responsible issuer pays contract value for participant withdrawals, regardless of the value of the assets in the separate account. The credited interest rate is a function of the relationship between the contract value and the value of the assets in the separate account. The rate is reset periodically, daily, monthly, quarterly, and so on, by the issuer and cannot be less than zero. There may

or may not be a specified maturity date on the contract. The contract holder may terminate the contract at any time, and receive the value of the assets in the separate account.

962-325-55-10 Net assets available for benefits should reflect the contract value for this investment contract because participants are guaranteed return of principal and accrued interest.

· > A Synthetic Investment Contract—Managed Type

962-325-55-11 Such a contract operates similarly to a separate account guaranteed investment contract, except that the assets are placed in a trust (with ownership by the plan) rather than a separate account of the issuer and a financially responsible third party issues a wrapper contract that provides that participants can, and must, execute plan transactions at contract value.

962-325-55-12 Net assets available for benefits should reflect the contract value for this investment contract because participants are guaranteed return of principal and accrued interest.

· > A Synthetic Investment Contract—Repurchase Type

962-325-55-13 Under such a contract, the plan purchases a bond and places it in trust. The plan then contracts with a financially responsible third party to provide benefit responsiveness. Under the contract, should the bond need to be sold to meet a participant-initiated withdrawal benefit, loan, or transfer, the plan is obligated to sell the bond to the contract issuer, and the issuer is obligated to buy the bond. The transaction price is defined under the contract (for example, amortized cost).

962-325-55-14 Net assets available for benefits should reflect the contract value for this investment contract because return of principal and accrued interest has been guaranteed to participants.

962-325-55-15 If the contract provided only an option for the [sponsor](#) to sell the bond to the issuer, rather than an obligation to do so, reflecting net assets available for benefits at contract value for this investment contract would also apply.

962-325-55-16 [Paragraph superseded by Accounting Standards Update No. 2015-12](#) (Part II).

> Illustrations

· > Example 2: Illustrative Financial Statements and Disclosures of a Defined Contribution Plan

962-325-55-17 This Example illustrates certain applications of the provisions of this Subtopic to the annual financial statements of a defined contribution plan. The following are illustrative financial statements and disclosures.

- a. [Subparagraph superseded by Accounting Standards Update No. 2018-09](#).
- b. [Subparagraph superseded by Accounting Standards Update No. 2018-09](#).

XYZ Company 401(k) Plan
Statement of Net Assets Available for Benefits

	December 31,	
	20X1	20X0
Assets:		
Investments at fair value (See Note C)	\$ 7,397,000	\$ 7,014,000
Investments at contract value (See Note D)	1,500,000	650,000
Receivables:		
Employer contributions	14,000	10,000
Participant contributions	52,000	50,000
Notes receivable from participants	300,000	350,000
Total receivables	<u>366,000</u>	<u>410,000</u>
Total assets	<u>9,263,000</u>	<u>8,074,000</u>
Liabilities:		
Accrued expenses	10,000	20,000
Excess contributions payable	15,000	-
Total liabilities	<u>25,000</u>	<u>20,000</u>
Net assets available for benefits	<u>\$ 9,238,000</u>	<u>\$ 8,054,000</u>

See accompanying notes to the financial statements.

XYZ Company 401(k) Plan
Statement of Changes in Net Assets Available for Benefits

	Year Ended December 31, 20X1
Additions:	
Additions to net assets attributed to:	
Investment income:	
Net appreciation in fair value of investments	\$ 280,000
Interest	369,000
Dividends	165,000
	<u>814,000</u>
Interest income on notes receivable from participants	20,000
Contributions:	
Employer (see Note A)	599,000
Participants	800,000
Rollovers (see Note E)	200,000
	<u>1,599,000</u>
Total additions	<u>2,433,000</u>
Deductions:	
Deductions from net assets attributed to:	
Benefits paid to participants	526,000
Administrative expenses	10,000
Total deductions	<u>536,000</u>
Net increase	1,897,000
Transfer to GHI plan (see Note A)	713,000
Net assets available for benefits:	
Beginning of year	8,054,000
End of year	<u>\$ 9,238,000</u>

See accompanying notes to the financial statements.

Notes to Financial Statements

A. Description of Plan

The following description of the XYZ Company (Company) 401(k) Plan (Plan) provides only general information. Participants should refer to the plan agreement for a more complete description of the Plan's provisions.

1. General. The Plan is a defined contribution plan covering all full-time employees of the Company and its wholly owned subsidiaries who have 1 year of service and are age 21 or older. The Plan is subject to the provisions of the Employment Retirement Income Security Act of 1974 (ERISA). In November 20X1, the Company sold its wholly owned subsidiary, Sub Company. As a result of its sale, on December 1, 20X1, the accounts of all Sub Company employees were transferred out of the Plan to GHI Plan (an existing plan controlled by the acquiring company).
2. Contributions. Each year, participants may contribute up to XX percent of pretax annual compensation, as defined in the Plan. Participants who have attained age 50 before the end of the Plan year are eligible to make catch-up contributions. Participants also may contribute amounts representing distributions from other qualified defined benefit or defined contribution plans (rollover). Participants direct the investment of their contributions into various investment options offered by the Plan. The Plan includes an auto-enrollment provision whereby all newly eligible employees are automatically enrolled in the Plan unless

they affirmatively elect not to participate in the Plan. Automatically enrolled participants have their deferral rate set at 2 percent of eligible compensation and their contributions invested in a designated balanced fund until changed by the participant. The Company contributes 25 percent of the first 6 percent of base compensation that a participant contributes to the Plan. The matching Company contribution is invested as directed by the participant.

3. Participant accounts. Each participant's account is credited with the participant's contributions and the Company's matching contributions, as well as allocations of Plan earnings. Participant accounts are charged with an allocation of administrative expenses. Allocations are based on participant earnings, account balances, or specific participant transactions, as defined. The benefit to which a participant is entitled is the benefit that can be provided from the participant's vested account.

4. Vesting. Participants are vested immediately in their contributions plus actual earnings on the contributions. Vesting in the Company's contribution portion of their accounts is based on years of continuous service. A participant is 100 percent vested after 3 years of credited service.

5. Notes receivable from participants. Participants may borrow from their fund accounts a minimum of \$1,000 up to a maximum equal to the lesser of \$50,000 or 50 percent of their account balance. The loans are secured by the balance in the participant's account. The loan interest rate, determined quarterly, is set at 2 percent above the prime rate, as defined. Principal and interest is paid ratably through monthly payroll deductions.

6. Payment of benefits. On termination of service due to death, disability, or retirement, a participant may elect to receive either a lump-sum amount equal to the value of the participant's vested interest in his or her account or annual installments over a 10-year period. For termination of service for other reasons, a participant may receive the value of the vested interest in his or her account as a lump-sum distribution.

7. Forfeited accounts. At December 31, 20X1, and 20X0, forfeited nonvested accounts totaled \$7,500 and \$5,000, respectively. These accounts will be used to reduce future employer contributions. Also, in 20X1, employer contributions were reduced by \$5,000 from forfeited nonvested accounts.

B. Summary of Accounting Policies

Basis of Accounting

The financial statements of the Plan are prepared on the accrual basis of accounting.

Investments held by a defined contribution plan are required to be reported at fair value, except for fully benefit-responsive investment contracts. Contract value is the relevant measure for the portion of the net assets available for benefits of a defined contribution plan attributable to fully benefit-responsive investment contracts because contract value is the amount participants normally would receive if they were to initiate permitted transactions under the terms of the Plan.

Use of Estimates

The preparation of financial statements in accordance with U.S. GAAP requires management to make estimates and assumptions that affect the reported amounts of assets and liabilities and changes in those assets and liabilities, and disclosure of contingent assets and liabilities. Actual results could differ from those estimates.

Investment Valuation and Income Recognition

Investments are reported at fair value (except for fully benefit-responsive investment contracts, which are reported at contract value). Fair value is the price that would be received to sell an asset or paid to transfer a liability in an orderly transaction between market participants at the measurement date. The Plan's Investment Committee determines the Plan's valuation policies utilizing information provided by the investment advisers, custodians, and insurance company. See Note C for discussion of fair value measurements.

Purchases and sales of securities are recorded on a trade-date basis. Interest income is recorded on the accrual basis. Dividends are recorded on the ex-dividend date. Net appreciation includes the Plan's gains and losses on investments purchased and sold as well as held during the year.

Notes Receivable from Participants

Notes receivable from participants are measured at their unpaid principal balance plus any accrued but unpaid interest. Interest income is recorded on the accrual basis. Related fees are recorded as administrative expenses and are expensed when they are incurred. No allowance for credit losses has been recorded as of December 31, 20X1, or 20X0. Delinquent participant loans are recorded as distributions on the basis of the terms of the Plan agreement.

Excess Contributions Payable

Amounts payable to participants for contributions in excess of amounts allowed by the Internal Revenue Service are recorded as a liability with a corresponding reduction to contributions. The Plan distributed the 20X1 excess contributions to the applicable participants before March 15, 20X2.

Payment of Benefits

Benefits are recorded when paid.

Expenses

Certain expenses incurred maintaining the Plan are paid directly by the Company and are excluded from these financial statements. Investment-related expenses are included in net appreciation of fair value of investments.

Subsequent Events

The Plan has evaluated subsequent events through [insert date], the date the financial statements were available to be issued.

C. Fair Value Measurements

The framework for measuring fair value provides a fair value hierarchy that prioritizes the inputs to valuation techniques used to measure fair value. The hierarchy gives the highest priority to unadjusted quoted prices in active markets for identical assets or liabilities (Level 1) and the lowest priority to unobservable inputs (Level 3). Valuation techniques maximize the use of relevant observable inputs and minimize the use of unobservable inputs. The three levels of the fair value hierarchy under Topic 820 are described as follows:

Level 1	Inputs to the valuation methodology are quoted prices (unadjusted) in active markets for identical assets or liabilities that the Plan can access at the measurement date.
Level 2	Inputs other than quoted prices included within Level 1 that are observable for the asset or liability, either directly or indirectly, such as: a. Quoted prices for similar assets or liabilities in active markets b. Quoted prices for identical or similar assets or liabilities in inactive markets c. Inputs other than quoted prices that are observable for the asset or liability d. Inputs that are derived principally from or corroborated by observable market data by correlation or other means. If the asset or liability has a specified (contractual) term, the Level 2 input must be observable for substantially the full term of the asset or liability.
Level 3	Inputs that are unobservable inputs for the asset or liability.

Following is a description of the valuation methodologies used for assets measured at fair value. There have been no changes in the methodologies used at December 31, 20X1, and 20X0.

1. Common stocks. Valued at the closing price reported on the active market on which the individual securities are traded.
2. Self-directed brokerage accounts. Accounts primarily consist of mutual funds and common stocks that are valued on the basis of readily determinable market prices.
3. Corporate bonds. Valued using pricing models maximizing the use of observable inputs for similar securities. This includes basing the value on yields currently available on comparable securities of issuers with similar credit ratings. When quoted prices are not available for identical or similar bonds, those corporate bonds are valued under a discounted cash flow

approach that maximizes observable inputs, such as current yields or similar instruments, but includes adjustments for certain risks that may not be observable, such as credit and liquidity risks.

4. Mutual funds. Valued at the daily closing price as reported by the fund. Mutual funds held by the Plan are open-end mutual funds that are registered with the U.S. Securities and Exchange Commission. These funds are required to publish their daily net asset value and to transact at that price. The mutual funds held by the Plan are deemed to be actively traded.

5. [Subparagraph superseded by Accounting Standards Update No. 2018-09.](#)

6. U.S. government securities. Valued using pricing models maximizing the use of observable inputs for similar securities.

The following table sets forth by level, within the fair value hierarchy, the Plan's assets at fair value as of December 31, 20X1, and 20X0. Classification within the fair value hierarchy table is based on the lowest level of any input that is significant to the fair value measurement.

Assets at Fair Value as of December 31, 20X1				
	Level 1	Level 2	Level 3	Total
Mutual funds	\$ 5,859,500	\$ -	\$ -	\$ 5,859,500
Self-directed brokerage account	25,000	-	-	25,000
Common stocks	960,000	-	-	960,000
U.S. government securities	-	225,000	-	225,000
Corporate bonds (Aaa credit rating & noninvestment grade)	-	307,500	20,000	327,500
Investments at fair value	<u>\$ 6,844,500</u>	<u>\$ 532,500</u>	<u>\$ 20,000</u>	<u>\$ 7,397,000</u>

Assets at Fair Value as of December 31, 20X0				
	Level 1	Level 2	Level 3	Total
Mutual funds	\$ 5,730,000	\$ -	\$ -	\$ 5,730,000
Self-directed brokerage account	20,000	-	-	20,000
Common stocks	870,000	-	-	870,000
U.S. government securities	-	120,000	-	120,000
Corporate bonds (Aaa credit rating & noninvestment grade)	-	255,000	19,000	274,000
Investments at fair value	<u>\$ 6,620,000</u>	<u>\$ 375,000</u>	<u>\$ 19,000</u>	<u>\$ 7,014,000</u>

Transfers between Levels

For years ended December 31, 20X1, and 20X0, there were no significant transfers between Levels 1 and 2 and no transfers in or out of Level 3.

Changes in Fair Value of Level 3 Assets and Related Gains and Losses

The following table sets forth a summary of changes in the fair value of the Plan's Level 3 assets for the year ended December 31, 20X1.

	Level 3 Assets Year Ended December 31, 20X1 (Corporate Bonds)
Balance, beginning of year	\$ 19,000
Realized gains/(losses)	500
Unrealized gains/(losses) relating to instruments still held at the reporting date	2,000
Purchases	-
Sales	(1,500)
Transfers in and/or out of Level 3	-
Balance, end of year	<u>\$ 20,000</u>
The amount of total gains or losses for the period attributable to the change in unrealized gains or losses relating to assets still held at the reporting date	<u>\$ 2,000</u>

Quantitative Information about Significant Unobservable Inputs Used in Level 3 Fair Value Measurements

The following table represents the Plan's Level 3 financial instruments, the valuation techniques used to measure the fair value of those financial instruments, and the significant unobservable inputs and the ranges of values for those inputs.

Instrument	Fair Value	Principal Valuation Technique	Unobservable Inputs	Range of Significant Input Values	Weighted Average
Corporate bonds	\$20,000	Discounted cash flow	Credit risk (basis points)	xx-xxx	Y%
			Liquidity risk (basis points)	xx-xxx	Y%

D. Fully Benefit-Responsive Investment Contracts

The Plan holds a portfolio of investment contracts that are directly effected with the issuer that comprises a traditional investment contract and a portfolio of synthetic investment contracts. These contracts meet the fully benefit-responsive investment contract criteria and therefore are reported at contract value. Contract value is the relevant measure for fully benefit-responsive investment contracts because this is the amount received by participants if they were to initiate permitted transactions under the terms of the Plan. Contract value represents contributions made under each contract, plus earnings, less participant withdrawals, and administrative expenses. The following represents the disaggregation of contract value between types of investment contracts held by the Plan.

	20X1	20X0
Synthetic investment contracts	\$ 1,250,000	\$ 500,000
Traditional investment contract	250,000	150,000
Total	\$ 1,500,000	\$ 650,000

The key difference between a synthetic investment contract and a traditional investment contract is that the Plan owns the underlying assets of the synthetic investment contract. A synthetic investment contract includes a wrapper contract, which is an agreement for the wrap issuer, such as a bank or insurance company, to make payments to the Plan in certain circumstances. The wrapper contract typically includes certain conditions and limitations on the underlying assets owned by the Plan. With traditional investment contracts, the Plan owns only the contract itself. Synthetic and traditional investment contracts are designed to accrue interest based on crediting rates established by the contract issuers.

The synthetic investment contracts held by the Plan include wrapper contracts that provide a guarantee that the credit rate will not fall below 0 percent. Cash flow volatility (for example, timing of benefit payments) as well as asset underperformance can be passed through to the Plan through adjustments to future contract crediting rates. Formulas are provided in each contract that adjusts renewal crediting rates to recognize the difference between the fair value and the book value of the underlying assets. Crediting rates are reviewed monthly for resetting.

The traditional investment contract held by the Plan is a guaranteed investment contract. The contract issuer is contractually obligated to repay the principal and interest at a specified interest rate that is guaranteed to the Plan. The crediting rate is based on a formula established by the contract issuer but may not be less than 4 percent. The crediting rate is reviewed on a quarterly basis for resetting. The contract cannot be terminated before the scheduled maturity date.

The Plan's ability to receive amounts due in accordance with fully benefit-responsive investment contracts is dependent on the third-party issuer's ability to meet its financial obligations. The issuer's ability to meet its contractual obligations may be affected by future economic and regulatory developments.

Certain events might limit the ability of the Plan to transact at contract value with the contract issuer. These events may be different under each contract. Examples of such events include the following:

1. The Plan's failure to qualify under Section 401(a) of the Internal Revenue Code or the failure of the trust to be tax-exempt under Section 501(a) of the Internal Revenue Code
2. Premature termination of the contracts
3. Plan termination or merger
4. Changes to the Plan's prohibition on competing investment options
5. Bankruptcy of the plan sponsor or other plan sponsor events (for example, divestitures or spinoffs of a subsidiary) that significantly affect the Plan's normal operations.

No events are probable of occurring that might limit the ability of the Plan to transact at contract value with the contract issuers and that also would limit the ability of the Plan to transact at contract value with the participants.

In addition, certain events allow the issuer to terminate the contracts with the Plan and settle at an amount different from contract value. Those events may be different under each contract. Examples of such events include the following:

- 1. An uncured violation of the Plan's investment guidelines
- 2. A breach of material obligation under the contract
- 3. A material misrepresentation
- 4. A material amendment to the agreements without the consent of the issuer.

E. Rollover Contributions

On January 20, 20X1, XYZ Company acquired ABC Company and approved an amendment to terminate the ABC 401(k) Plan effective November 1, 20X1. All participants in the ABC 401(k) Plan became 100 percent vested in that plan upon termination and were provided with the option to have their account balance rolled into any qualified plan (including the Plan) or IRA, receive a lump-sum distribution, or be paid through an annuity contract. An aggregate of \$XXX,000 was rolled into the Plan during the year ended December 31, 20X1, and is included in rollovers on the statement of changes in net assets available for benefits.

F. Related-Party Transactions and Party-in-Interest Transactions

Certain Plan investments are shares of mutual funds managed by Prosperity Investments. Prosperity Investments is the trustee as defined by the Plan, and, therefore, these transactions qualify as party-in-interest transactions. Fees incurred and paid directly by the Plan for the investment management services were \$10,000.

G. Plan Termination

Although it has not expressed any intent to do so, the Company has the right under the Plan to discontinue its contributions at any time and to terminate the Plan subject to the provisions of ERISA. In the event of Plan termination, participants would become 100 percent vested in their employer contributions.

H. Tax Status

The IRS has determined and informed the Company by a letter dated August 30, 20XX, that the Plan and related trust are designed in accordance with applicable sections of the Internal Revenue Code. Although the Plan has been amended since receiving the determination letter, the Plan administrator and the Plan's tax counsel believe that the Plan is designed, and is currently being operated, in compliance with the applicable requirements of the Internal Revenue Code and, therefore, believe that the Plan is qualified and that the related trust is tax-exempt.

I. Risks and Uncertainties

The Plan invests in various investment securities. Investment securities are exposed to various risks, such as interest rate, market, and credit risks. Because of the level of risk associated with certain investment securities, it is at least reasonably possible that changes in the values of investment securities will occur in the near term and that such changes could materially affect participants' account balances and the amounts reported in the statement of net assets available for benefits.

J. Reconciliation of Financial Statements to Form 5500

The following is a reconciliation of net assets available for benefits per the financial statements at December 31, 20X1, and 20X0, to Form 5500:

	20X1	20X0
Net assets available for benefits per the financial statements	\$ 9,238,000	\$ 8,054,000
Amounts allocated to withdrawing participants	(50,000)	(35,000)
Net assets available for benefits per the Form 5500	\$ 9,188,000	\$ 8,019,000

The following is a reconciliation of benefits paid to participants per the financial statements for the year ended December 31, 20X1, to Form 5500:

Benefits paid to participants per the financial statements	\$ 526,000
Add: Amounts allocated to withdrawing participants at December 31, 20X1	50,000
Less: Amounts allocated to withdrawing participants at December 31, 20X0	<u>(35,000)</u>
Benefits paid to participants per Form 5500	<u>\$ 541,000</u>

Amounts allocated to withdrawing participants are recorded on Form 5500 for benefit claims that have been processed and approved for payment before year-end, but not yet paid as of that date.

PENDING CONTENT



Transition Date: P December 16, 2026; N December 16, 2026 | **Transition Guidance:** [105-10-65-10](#)

This Example illustrates certain applications of the provisions of this Subtopic to the annual financial statements of a defined contribution plan. The following are illustrative financial statements and disclosures.

- a. [Subparagraph superseded by Accounting Standards Update No. 2018-09.](#)
- b. [Subparagraph superseded by Accounting Standards Update No. 2018-09.](#)

XYZ Company 401(k) Plan Statement of Net Assets Available for Benefits		
	December 31,	
	20X1	20X0
Assets:		
Investments at fair value (See Note C)	\$ 7,397,000	\$ 7,014,000
Investments at contract value (See Note D)	1,500,000	650,000
Receivables:		
Employer contributions	14,000	10,000
Participant contributions	52,000	50,000
Notes receivable from participants	300,000	350,000
Total receivables	366,000	410,000
Total assets	9,263,000	8,074,000
Liabilities:		
Accrued expenses	10,000	20,000
Excess contributions payable	15,000	-
Total liabilities	25,000	20,000
Net assets available for benefits	\$ 9,238,000	\$ 8,054,000

See accompanying notes to the financial statements.

XYZ Company 401(k) Plan Statement of Changes in Net Assets Available for Benefits	
	Year Ended December 31, 20X1
Additions:	
Additions to net assets attributed to:	
Investment income:	
Net appreciation in fair value of investments	\$ 280,000
Interest	369,000
Dividends	165,000
	814,000
Interest income on notes receivable from participants	20,000
Contributions:	
Employer (see Note A)	599,000
Participants	800,000
Rollovers (see Note E)	200,000
	1,599,000
Total additions	2,433,000
Deductions:	
Deductions from net assets attributed to:	
Benefits paid to participants	526,000
Administrative expenses	10,000
Total deductions	536,000
Net increase	1,897,000
Transfer to GHI plan (see Note A)	713,000
Net assets available for benefits:	
Beginning of year	8,054,000
End of year	\$ 9,238,000

See accompanying notes to the financial statements.

Notes to Financial Statements

A. Description of Plan

The following description of the XYZ Company (Company) 401(k) Plan (Plan) provides only general information. Participants should refer to the plan agreement for a more complete description of the Plan's provisions.

1. General. The Plan is a defined contribution plan covering all full-time employees of the Company and its wholly owned subsidiaries who have 1 year of service and are age 21 or older. The Plan is subject to the provisions of the Employment Retirement Income Security Act of 1974 (ERISA). In November 20X1, the Company sold its wholly owned subsidiary, Sub Company. As a result of its sale, on December 1, 20X1, the accounts of all Sub Company employees were transferred out of the Plan to GHI Plan (an existing plan controlled by the acquiring company).
2. Contributions. Each year, participants may contribute up to XX percent of pretax annual compensation, as defined in the Plan. Participants who have attained age 50 before the

compensation, as defined in the Plan. Participants who have attained age 50 before the end of the Plan year are eligible to make catch-up contributions. Participants also may contribute amounts representing distributions from other qualified defined benefit or defined contribution plans (rollover). Participants direct the investment of their contributions into various investment options offered by the Plan. The Plan includes an auto-enrollment provision whereby all newly eligible employees are automatically enrolled in the Plan unless they affirmatively elect not to participate in the Plan. Automatically enrolled participants have their deferral rate set at 2 percent of eligible compensation and their contributions invested in a designated balanced fund until changed by the participant. The Company contributes 25 percent of the first 6 percent of base compensation that a participant contributes to the Plan. The matching Company contribution is invested as directed by the participant.

3. Participant accounts. Each participant's account is credited with the participant's contributions and the Company's matching contributions, as well as allocations of Plan earnings. Participant accounts are charged with an allocation of administrative expenses. Allocations are based on participant earnings, account balances, or specific participant transactions, as defined. The benefit to which a participant is entitled is the benefit that can be provided from the participant's vested account.

4. Vesting. Participants are vested immediately in their contributions plus actual earnings on the contributions. Vesting in the Company's contribution portion of their accounts is based on years of continuous service. A participant is 100 percent vested after 3 years of credited service.

5. Notes receivable from participants. Participants may borrow from their fund accounts a minimum of \$1,000 up to a maximum equal to the lesser of \$50,000 or 50 percent of their account balance. The loans are secured by the balance in the participant's account. The loan interest rate, determined quarterly, is set at 2 percent above the prime rate, as defined. Principal and interest is paid ratably through monthly payroll deductions.

6. Payment of benefits. On termination of service due to death, disability, or retirement, a participant may elect to receive either a lump-sum amount equal to the value of the participant's vested interest in his or her account or annual installments over a 10-year period. For termination of service for other reasons, a participant may receive the value of the vested interest in his or her account as a lump-sum distribution.

7. Forfeited accounts. At December 31, 20X1, and 20X0, forfeited nonvested accounts totaled \$7,500 and \$5,000, respectively. These accounts will be used to reduce future employer contributions. Also, in 20X1, employer contributions were reduced by \$5,000 from forfeited nonvested accounts.

B. Summary of Accounting Policies

Basis of Accounting

The financial statements of the Plan are prepared on the accrual basis of accounting.

Investments held by a defined contribution plan are required to be reported at fair value, except for fully benefit-responsive investment contracts. Contract value is the relevant measure for the portion of the net assets available for benefits of a defined contribution plan attributable to fully benefit-responsive investment contracts because contract value is the amount participants normally would receive if they were to initiate permitted transactions under the terms of the Plan.

Use of Estimates

The preparation of financial statements in accordance with U.S. GAAP requires management to make estimates and assumptions that affect the reported amounts of assets and liabilities and changes in those assets and liabilities, and disclosure of contingent assets and liabilities. Actual results could differ from those estimates.

Investment Valuation and Income Recognition

Investments are reported at fair value (except for fully benefit-responsive investment contracts, which are reported at contract value). Fair value is the price that would be received to sell an asset or paid to transfer a liability in an orderly transaction between market participants at the measurement date. The Plan's Investment Committee determines the Plan's valuation policies utilizing information provided by the investment advisers, custodians, and insurance company. See Note C for discussion of fair value measurements.

Purchases and sales of securities are recorded on a trade-date basis. Interest income is recorded on the accrual basis. Dividends are recorded on the ex-dividend date. Net appreciation includes the Plan's gains and losses on investments purchased and sold as well as held during the year.

Notes Receivable from Participants

Notes receivable from participants are measured at their unpaid principal balance plus any accrued but unpaid interest. Interest income is recorded on the accrual basis. Related fees

accrued but unpaid interest. Interest income is recorded on the accrual basis. Related fees are recorded as administrative expenses and are expensed when they are incurred. Delinquent participant loans are recorded as distributions on the basis of the terms of the Plan agreement.

Excess Contributions Payable

Amounts payable to participants for contributions in excess of amounts allowed by the Internal Revenue Service are recorded as a liability with a corresponding reduction to contributions. The Plan distributed the 20X1 excess contributions to the applicable participants before March 15, 20X2.

Payment of Benefits

Benefits are recorded when paid.

Expenses

Certain expenses incurred maintaining the Plan are paid directly by the Company and are excluded from these financial statements. Investment-related expenses are included in net appreciation of fair value of investments.

Subsequent Events

The Plan has evaluated subsequent events through [insert date], the date the financial statements were available to be issued.

C. Fair Value Measurements

The framework for measuring fair value provides a fair value hierarchy that prioritizes the inputs to valuation techniques used to measure fair value. The hierarchy gives the highest priority to unadjusted quoted prices in active markets for identical assets or liabilities (Level 1) and the lowest priority to unobservable inputs (Level 3). Valuation techniques maximize the use of relevant observable inputs and minimize the use of unobservable inputs. The three levels of the fair value hierarchy under Topic 820 are described as follows:

Level 1	Inputs to the valuation methodology are quoted prices (unadjusted) in active markets for identical assets or liabilities that the Plan can access at the measurement date.
Level 2	Inputs other than quoted prices included within Level 1 that are observable for the asset or liability, either directly or indirectly, such as: a. Quoted prices for similar assets or liabilities in active markets b. Quoted prices for identical or similar assets or liabilities in inactive markets c. Inputs other than quoted prices that are observable for the asset or liability d. Inputs that are derived principally from or corroborated by observable market data by correlation or other means. If the asset or liability has a specified (contractual) term, the Level 2 input must be observable for substantially the full term of the asset or liability.
Level 3	Inputs that are unobservable inputs for the asset or liability.

Following is a description of the valuation methodologies used for assets measured at fair value. There have been no changes in the methodologies used at December 31, 20X1, and 20X0.

1. Common stocks. Valued at the closing price reported on the active market on which the individual securities are traded.
2. Self-directed brokerage accounts. Accounts primarily consist of mutual funds and common stocks that are valued on the basis of readily determinable market prices.
3. Corporate bonds. Valued using pricing models maximizing the use of observable inputs for similar securities. This includes basing the value on yields currently available on comparable securities of issuers with similar credit ratings. When quoted prices are not available for identical or similar bonds, those corporate bonds are valued under a discounted cash flow approach that maximizes observable inputs, such as current yields or similar instruments, but includes adjustments for certain risks that may not be observable, such as credit and liquidity risks.
4. Mutual funds. Valued at the daily closing price as reported by the fund. Mutual funds held by the Plan are open-end mutual funds that are registered with the U.S. Securities and Exchange Commission. These funds are required to publish their daily net asset value and to transact at that price. The mutual funds held by the Plan are deemed to be actively traded.
5. [Subparagraph superseded by Accounting Standards Update No. 2018-09.](#)
6. U.S. government securities. Valued using pricing models maximizing the use of observable inputs for similar securities.

The following table sets forth by level within the fair value hierarchy the Plan's assets at fair

The following table sets forth, by level, within the fair value hierarchy, the Plan's assets at fair value as of December 31, 20X1, and 20X0. Classification within the fair value hierarchy table is based on the lowest level of any input that is significant to the fair value measurement.

Assets at Fair Value as of December 31, 20X1				
	Level 1	Level 2	Level 3	Total
Mutual funds	\$ 5,859,500	\$ -	\$ -	\$ 5,859,500
Self-directed brokerage account	25,000	-	-	25,000
Common stocks	960,000	-	-	960,000
U.S. government securities	-	225,000	-	225,000
Corporate bonds (Aaa credit rating & noninvestment grade)	-	307,500	20,000	327,500
Investments at fair value	<u>\$ 6,844,500</u>	<u>\$ 532,500</u>	<u>\$ 20,000</u>	<u>\$ 7,397,000</u>

Assets at Fair Value as of December 31, 20X0				
	Level 1	Level 2	Level 3	Total
Mutual funds	\$ 5,730,000	\$ -	\$ -	\$ 5,730,000
Self-directed brokerage account	20,000	-	-	20,000
Common stocks	870,000	-	-	870,000
U.S. government securities	-	120,000	-	120,000
Corporate bonds (Aaa credit rating & noninvestment grade)	-	255,000	19,000	274,000
Investments at fair value	<u>\$ 6,620,000</u>	<u>\$ 375,000</u>	<u>\$ 19,000</u>	<u>\$ 7,014,000</u>

Level 3 Transfers

For years ended December 31, 20X1, and 20X0, there were no transfers in or out of Level 3.

Changes in Fair Value of Level 3 Assets and Related Gains and Losses

The following table sets forth a summary of changes in the fair value of the Plan's Level 3 assets for the year ended December 31, 20X1.

	Level 3 Assets Year Ended December 31, 20X1 (Corporate Bonds)
Balance, beginning of year	\$ 19,000
Realized gains/(losses)	500
Unrealized gains/(losses) relating to instruments still held at the reporting date	2,000
Purchases	-
Sales	(1,500)
Transfers in and/or out of Level 3	-
Balance, end of year	<u>\$ 20,000</u>
The amount of total gains or losses for the period attributable to the change in unrealized gains or losses relating to assets still held at the reporting date	<u>\$ 2,000</u>

Quantitative Information about Significant Unobservable Inputs Used in Level 3 Fair Value Measurements

The following table represents the Plan's Level 3 financial instruments, the valuation techniques used to measure the fair value of those financial instruments, and the significant unobservable inputs and the ranges of values for those inputs.

Instrument	Fair Value	Principal Valuation Technique	Unobservable Inputs	Range of Significant Input Values	Weighted Average
Corporate bonds	\$20,000	Discounted cash flow	Credit risk (basis points)	xx-xxx	Y%
			Liquidity risk (basis points)	xx-xxx	Y%

D. Fully Benefit-Responsive Investment Contracts

The Plan holds a portfolio of investment contracts that are directly effected with the issuer that comprises a traditional investment contract and a portfolio of synthetic investment contracts. These contracts meet the fully benefit-responsive investment contract criteria and therefore are reported at contract value. Contract value is the relevant measure for fully benefit-responsive investment contracts because this is the amount received by participants if they were to initiate permitted transactions under the terms of the Plan. Contract value represents contributions made under each contract, plus earnings, less participant withdrawals, and administrative expenses. The following represents the disaggregation of contract value between types of investment contracts held by the Plan.

	20X1	20X0
Synthetic investment contracts	\$ 1,250,000	\$ 500,000
Traditional Investment contract	250,000	150,000
Total	<u>\$ 1,500,000</u>	<u>\$ 650,000</u>

The key difference between a synthetic investment contract and a traditional investment contract is that the Plan owns the underlying assets of the synthetic investment contract. A synthetic investment contract includes a wrapper contract, which is an agreement for the wrap issuer, such as a bank or insurance company, to make payments to the Plan in certain circumstances. The wrapper contract typically includes certain conditions and limitations on the underlying assets owned by the Plan. With traditional investment contracts, the Plan owns

only the contract itself. Synthetic and traditional investment contracts are designed to accrue interest based on crediting rates established by the contract issuers.

The synthetic investment contracts held by the Plan include wrapper contracts that provide a guarantee that the credit rate will not fall below 0 percent. Cash flow volatility (for example, timing of benefit payments) as well as asset underperformance can be passed through to the Plan through adjustments to future contract crediting rates. Formulas are provided in each contract that adjusts renewal crediting rates to recognize the difference between the fair value and the book value of the underlying assets. Crediting rates are reviewed monthly for resetting.

The traditional investment contract held by the Plan is a guaranteed investment contract. The contract issuer is contractually obligated to repay the principal and interest at a specified interest rate that is guaranteed to the Plan. The crediting rate is based on a formula established by the contract issuer but may not be less than 4 percent. The crediting rate is reviewed on a quarterly basis for resetting. The contract cannot be terminated before the scheduled maturity date.

The Plan's ability to receive amounts due in accordance with fully benefit-responsive investment contracts is dependent on the third-party issuer's ability to meet its financial obligations. The issuer's ability to meet its contractual obligations may be affected by future economic and regulatory developments.

Certain events might limit the ability of the Plan to transact at contract value with the contract issuer. These events may be different under each contract. Examples of such events include the following:

1. The Plan's failure to qualify under Section 401(a) of the Internal Revenue Code or the failure of the trust to be tax-exempt under Section 501(a) of the Internal Revenue Code
2. Premature termination of the contracts
3. Plan termination or merger
4. Changes to the Plan's prohibition on competing investment options
5. Bankruptcy of the plan sponsor or other plan sponsor events (for example, divestitures or spinoffs of a subsidiary) that significantly affect the Plan's normal operations.

No events are probable of occurring that might limit the ability of the Plan to transact at contract value with the contract issuers and that also would limit the ability of the Plan to transact at contract value with the participants.

In addition, certain events allow the issuer to terminate the contracts with the Plan and settle at an amount different from contract value. Those events may be different under each contract. Examples of such events include the following:

1. An uncured violation of the Plan's investment guidelines
2. A breach of material obligation under the contract
3. A material misrepresentation
4. A material amendment to the agreements without the consent of the issuer.

E. Rollover Contributions

On January 20, 20X1, XYZ Company acquired ABC Company and approved an amendment to terminate the ABC 401(k) Plan effective November 1, 20X1. All participants in the ABC 401(k) Plan became 100 percent vested in that plan upon termination and were provided with the option to have their account balance rolled into any qualified plan (including the Plan) or IRA, receive a lump-sum distribution, or be paid through an annuity contract. An aggregate of \$XXX,000 was rolled into the Plan during the year ended December 31, 20X1, and is included in rollovers on the statement of changes in net assets available for benefits.

F. Related-Party Transactions and Party-in-Interest Transactions

Certain Plan investments are shares of mutual funds managed by Prosperity Investments. Prosperity Investments is the trustee as defined by the Plan, and, therefore, these transactions qualify as party-in-interest transactions. Fees incurred and paid directly by the Plan for the investment management services were \$10,000.

G. Plan Termination

Although it has not expressed any intent to do so, the Company has the right under the Plan to discontinue its contributions at any time and to terminate the Plan subject to the provisions of ERISA. In the event of Plan termination, participants would become 100 percent vested in their employer contributions.

H. Tax Status

The IRS has determined and informed the Company by a letter dated August 30, 20XX, that the Plan and related trust are designed in accordance with applicable sections of the Internal Revenue Code. Although the Plan has been amended since receiving the determination letter,

the Plan administrator and the Plan's tax counsel believe that the Plan is designed, and is currently being operated, in compliance with the applicable requirements of the Internal Revenue Code and, therefore, believe that the Plan is qualified and that the related trust is tax-exempt.

I. Risks and Uncertainties

The Plan invests in various investment securities. Investment securities are exposed to various risks, such as interest rate, market, and credit risks. Because of the level of risk associated with certain investment securities, it is at least reasonably possible that changes in the values of investment securities will occur in the near term and that such changes could materially affect participants' account balances and the amounts reported in the statement of net assets available for benefits.

J. Reconciliation of Financial Statements to Form 5500

The following is a reconciliation of net assets available for benefits per the financial statements at December 31, 20X1, and 20X0, to Form 5500:

	20X1	20X0
Net assets available for benefits per the financial statements	\$ 9,238,000	\$ 8,054,000
Amounts allocated to withdrawing participants	(50,000)	(35,000)
Net assets available for benefits per the Form 5500	\$ 9,188,000	\$ 8,019,000

The following is a reconciliation of benefits paid to participants per the financial statements for the year ended December 31, 20X1, to Form 5500:

Benefits paid to participants per the financial statements	\$ 526,000
Add: Amounts allocated to withdrawing participants at December 31, 20X1	50,000
Less: Amounts allocated to withdrawing participants at December 31, 20X0	(35,000)
Benefits paid to participants per Form 5500	\$ 541,000

Amounts allocated to withdrawing participants are recorded on Form 5500 for benefit claims that have been processed and approved for payment before year-end, but not yet paid as of that date.

> Example 3: Illustrative Master Trust Disclosures

962-325-55-18 This Example illustrates the disclosures required by paragraphs 962-325-50-8A through 50-8C for the interest a plan has in each master trust. The plan's interest in the master trust, as presented on the statement of net assets available for benefits, is \$8,540,000 as of December 31, 20X2. In this Example, the plan has a divided interest in the master trust; however, those disclosures also are required for plans with undivided interests.

	Master Trust Balances	Plan's Interest in Master Trust Balances
Mutual funds	\$ 13,580,000	\$ 6,816,800
Common stocks	2,245,000	1,638,200
U.S. government securities	575,000	-
Corporate bonds	327,500	-
Total investments at fair value	16,707,500	8,455,000
Plus:		
Due from broker for securities sold	225,000	100,000
Accrued interest and dividends	125,000	50,000
Less:		
Due to broker for securities purchased	(95,000)	(50,000)
Accrued expenses	(30,000)	(15,000)
Total	\$ 16,932,500	\$ 8,540,000

962 Plan Accounting—Defined Contribution Pension Plans

360 Property, Plant, and Equipment

00 Status

General Note:The Status Section identifies changes to this Subtopic resulting from Accounting Standards Updates. The Section provides references to the affected Codification content and links to the related Accounting Standards Updates. Nonsubstantive changes for items such as editorial, link and similar corrections are included separately in Maintenance Updates.

General

962-360-00-1 The following table identifies the changes made to this Subtopic.

Paragraph	Action	Accounting Standards Update	Date
Defined Contribution Plan	Added	Accounting Standards Update No. 2018-09	07/16/2018
962-360-05-1	Added	Accounting Standards Update No. 2018-09	07/16/2018
962-360-15-1	Added	Accounting Standards Update No. 2018-09	07/16/2018
962-360-35-1	Added	Accounting Standards Update No. 2018-09	07/16/2018

05 Overview and Background

General Note:The Overview and Background Section provides overview and background material for the guidance contained in the Subtopic. It does not provide the historical background or due process. It may contain certain material that users generally consider useful to understand the typical situations addressed by the standards. The Section does not summarize the accounting and reporting requirements.

General

962-360-05-1 This Subtopic provides guidance on accounting for property, plant, and equipment for [defined contribution plans](#).

15 Scope and Scope Exceptions

General Note: The Scope and Scope Exceptions Section outlines the items (for example, the entities, transactions, instruments, or events) to which the guidance in the Subtopic does or does not apply. In some cases, the Section may contain definitional or other text to frame the scope.

General

> Overall Guidance

962-360-15-1 This Subtopic follows the same Scope and Scope Exceptions as outlined in the Overall Subtopic; see Section [962-10-15](#).

20 Glossary

General Note: The Master Glossary contains all terms identified as glossary terms throughout the Codification. Clicking on any term in the Master Glossary will display where the term is used. The Master Glossary may contain identical terms with different definitions, some of which may not be appropriate for a particular Subtopic. For any particular Subtopic, users should only use the glossary terms included in the particular Subtopic Glossary Section (Section 20).

Defined Contribution Plan

A plan that provides an individual account for each participant and provides benefits that are based on all of the following: amounts contributed to the participant's account by the employer or employee; investment experience; and any forfeitures allocated to the account, less any administrative expenses charged to the plan.

- a. **Defined contribution health and welfare plans**—Defined contribution health and welfare plans maintain an individual account for each plan participant. They have terms that specify the means of determining the contributions to participants' accounts, rather than the amount of benefits the participants are to receive. The benefits a plan participant will receive are limited to the amount contributed to the participant's account, investment experience, expenses, and any forfeitures allocated to the participant's account. These plans also include flexible spending arrangements.
- b. **Defined contribution postretirement plan**—A plan that provides postretirement benefits in return for services rendered, provides an individual account for each plan participant, and specifies how contributions to the individual's account are to be determined rather than specifies the amount of benefits the individual is to receive. Under a defined contribution postretirement plan, the benefits a plan participant will receive depend solely on the amount contributed to the plan participant's account, the returns earned on investments of those contributions, and the

forfeitures of other plan participants' benefits that may be allocated to that plan participant's account.

35 Subsequent Measurement

General Note: The Subsequent Measurement Section provides guidance on an entity's subsequent measurement and subsequent recognition of an item. Situations that may result in subsequent changes to carrying amount include impairment, credit losses, fair value adjustments, depreciation and amortization, and so forth.

General

- 962-360-35-1** Plan assets used in plan operations shall be reported at cost less accumulated depreciation or amortization and may consist of any of the following:
- a. Buildings
 - b. Equipment
 - c. Furniture and fixtures
 - d. Leasehold improvements.